SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

Reports and Financial Statements
For the year ended December 31, 2025

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

REPORTS AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED DECEMBER 31, 2025

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SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

REPORT OF THE DIRECTORS

The directors of the Company present their annual report and the audited financial statements for the year ended December 31, 2025.

PRINCIPAL ACTIVITIES

The principal activities of Sun Life Hong Kong Limited (the "Company") are to underwrite long-term insurance business and retirement business. Details of the principal activities of the Company's subsidiaries are set out in note 14 to the financial statements.

The Company did not carry on any insurance business during the year relating to liabilities or risks in respect of which persons are required by law to be insured.

RESULTS AND APPROPRIATIONS

The statement of profit or loss of the Company for the year ended December 31, 2025 and the financial position of the Company as at that date are set out in the financial statements on pages 11 to 14.

An interim dividend of HK$1,425,000,564 (i.e. HK$2.005606 per share) was declared and paid to the shareholders during the year. No final dividend is recommended.

PLANT AND EQUIPMENT

Details of movements during the year in plant and equipment are set out in note 16 to the financial statements.

SHARE CAPITAL

Details of the Company's share capital during the year are set out in note 26 to the financial statements.

REINSURANCE ARRANGEMENTS

As at December 31, 2025, the following arrangements were in effect:

Reinsurer	Line of Business	Treaty type	Retention
RGA Reinsurance Company (RGA Re)	Non Par and simplified underwritten Par policies issued on or after April 1, 2000. New business switch to RGA Int from 2016.	Quota Share	Mainly 50% of net amount at risk up to US$250,000 or US$1,000,000, varying by issue date
	Substandard lives from former CMG Asia Limited	Quota Share / Excess Surplus	Varies by mortality rating up to US$125,000
	Reversionary Bonus Par Life	Quota Share	20% of net amount at risk up to US$1,000,000
	Reversionary Bonus Par Life	Quota Share	50% of net amount at risk up to US$1,000,000 for mortality and morbidity risks
RGA International Reinsurance Company dac (RGA Int)	Critical Illness Plan	Quota Share	50% or 25% of net amount at risk up to US$1,000,000
	Non Par and simplified underwritten Par policies. New business switch from RGA Re from 2016.	Quota Share	50% of net amount at risk up to US$1,000,000
RGA Re RGA Int	High Net Worth Universal Life	Quota Share	50% of net amount at risk up to US$5,000,000
	Fully underwritten whole life Par policies	Quota Share	5% of net amount at risk up to US$250,000 or US$1,000,000, varying by issue date, with tail lapse risk ceded
RGA Re RGA Global Reinsurance Company Limited (RGA Global)	Reversionary Bonus Par Life	Quota Share	25% of net amount at risk up to US$1,000,000, with tail lapse risk ceded
	Critical Illness Plan	Quota Share	20% of net amount at risk up to US$1,000,000 for mortality and morbidity risks

REINSURANCE ARRANGEMENTS - continued

Reinsurer	Line of Business	Treaty type	Retention
Munich Reinsurance Company (Munich Re), Hong Kong Branch	Critical Illness Plans	Quota Share	50% of net amount at risk up to US$250,000 or US$1,000,000, varying by issue date
	Medical Reimbursement Plans	Quota Share	50% of benefits retained
SCOR SE	Critical Illness Plan	Quota Share	50% of net amount at risk up to US$2,500,000
Hannover Reinsurance Company (Hannover Re)	Basic death and attached accelerating critical illness benefit from former CMG Asia Limited	Quota Share	0% (100% benefit ceded)
Munich Re, Singapore Branch Hannover Re SCOR SE	High Net Worth Reversionary Bonus Par	Quota Share	50% of net amount at risk up to US$5,000,000
Munich Re, Singapore Branch Hannover Re Swiss Re Asia Pte. Ltd. (Swiss Re) Bermuda Branch of Sun Life Assurance Company of Canada (SLA Bermuda)	High Net Worth Reversionary Bonus Par	Quota Share / Excess Surplus	50% of net amount at risk up to US$5,000,000 Tail lapse risk is ceded for Munich Re, Singapore Branch and SLA Bermuda

REINSURANCE ARRANGEMENTS - continued

Reinsurer	Line of Business	Treaty type	Retention
RGA Int Munich Re, Singapore Branch SLA Bermuda	Reversionary Bonus Par Life	Quota Share	About 15% of net amount at risk with up to US$600,000, with tail lapse risk ceded
Munich Re, Singapore Branch SLA Bermuda	Critical Illness Plan	Quota Share	25% or 50% of net amount at risk up to US$1,250,000 or US$2,500,000 depending on issue date, with tail lapse risk ceded
SCOR Reinsurance Company (Asia)	Old term policies	Quota Share / Excess Surplus	50% up to US$250,000 or Excess Surplus US$3,750,000
General Re Life Corporation	Female Critical Illness Plan from former CMG Asia Limited	Quota Share	20% of Sum Insured
Swiss Re	Mainly Traditional Par Pre-Demutualization Blocks, Disability Income Insurance	Quota Share / Excess Surplus	Varies depending on benefits
Transamerica Life (Bermuda) Limited	Products sold through the Direct Marketing channel	Coinsurance	30% retained
SLA Bermuda	High Net Worth Reversionary Bonus Par products Individual participating whole life and endowment product lines under Open Par block	Coinsurance	5% retained
Munich Re, Singapore Branch	Group Life & Medical	Coinsurance	1% retained

DIRECTORS

The directors of the Company during the year and up to the date of this report were:

Duarte Manuel de Frias	
Stuart Edward Harrison *	
Lam Ka Yin	
Thomas Alan Hulst *	
Karim Gilani	(resigned with effect from April 23, 2026)
Niall Dermot Grady	(appointed on April 23, 2026)

* Independent Non-Executive Director

In accordance with the Company's Bye-laws, all existing directors shall serve until re-elected or their successors are appointed at the forthcoming Annual General Meeting.

CONTROLLERS

The controllers of the Company, within the meaning of Section 9(1) of the Insurance Ordinance, during the year and up to the date of this report were:

Sun Life Financial Inc. ("SLF Inc.")
Sun Life Assurance Company of Canada
Lam Ka Yin
Kevin David Strain

DIRECTORS' AND CONTROLLERS' INTERESTS IN CONTRACTS

During the year ended 31 December 2025, the Company was a party to contracts of significance with other subsidiary entities of Sun Life Financial Inc., the Company's ultimate holding company, with whom the Company has a common controller. Details of these contracts are set out in note 24 to the financial statements. The Company was also a party to reinsurance contracts with the Bermuda Branch of Sun Life Assurance Company of Canada ("SLA Bermuda"), a controller of the Company. Details of these reinsurance contracts are set out in the Reinsurance Arrangements section of this report.

During the year ended 31 December 2025, Lam Ka Yin, the Company's director and controller, has been appointed as the director and controller of Bowtie Life Insurance Company Limited ("Bowtie"), a subsidiary of the Company. The Company entered into a service agreement with Bowtie for the the third-party administration service and administrative processes provided on policy maintenance and handling.

DIRECTORS' AND CONTROLLERS' RIGHTS TO ACQUIRE SHARES OR DEBENTURES

Certain directors of the Company are eligible to be granted conditional awards over common shares in SLF Inc., the Company's ultimate holding company, under Sun Share Unit ("Sun Share") Plan. Under the Sun Shares plan, participants are granted units that are equivalent in value to one common share of SLF Inc.. Units may vest or become payable if SLF Inc. meet specified threshold performance targets. During the year, directors were awarded shares in SLC Inc. under the terms of the Sun Share Plan.

Apart from these arrangements, at no time during the year was the Company, its ultimate holding company or any subsidiaries of the Company's ultimate holding company a party to any arrangements to enable the directors and controllers of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

MANAGEMENT CONTRACTS

During the year, the Company entered into a service agreement with BestServe Financial Limited ("BestServe"), under which BestServe provides operational and administrative support services to the Sun Life Rainbow Mandatory Provident Fund scheme in connection with the eMPF Platform onboarding. The agreement commenced on 3 October 2025 for an initial term of three months and is subject to renewal by mutual agreement.

During the year, the Company entered into a service agreement with Sun Life Investment Management Asia Limited ("SLIMA"), under which SLIMA is appointed as the discretionary investment manager of the Company's certain portfolios and provide the corresponding services.

The Company entered into a service agreement with Bowtie, under which Bowtie provides third-party administration service and administrative processes provided on policy maintenance and handling.

AUDITOR

A resolution will be submitted to the annual general meeting to re-appoint Messrs. Deloitte Touche Tohmatsu as auditor of the Company.

On behalf of the Board

Lam Ka Yin
DIRECTOR
April 27, 2026

INDEPENDENT AUDITOR'S REPORT
TO THE DIRECTORS OF SUN LIFE HONG KONG LIMITED
香港永明金融有限公司
(Incorporated in Bermuda with limited liability)

Opinion

We have audited the financial statements of Sun Life Hong Kong Limited (the "Company") set out on pages 11 to 119, which comprise the statement of financial position as at December 31, 2025, and the statement of profit or loss, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information and other explanatory information.

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at December 31, 2025, and of its financial performance and its cash flows for the year then ended in accordance with HKFRS Accounting Standards as issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA") and have been properly prepared in compliance with the disclosure requirements of the Hong Kong Companies Ordinance.

Basis for Opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing ("HKSAs") as issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants (the "Code"), as applicable to audits of financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

As previously required by the Insurance Ordinance, the Company prepared consolidated financial statements for the year ended December 31, 2024 in accordance with the HKFRS Accounting Standards issued by the HKCIPA which were audited by us. An unmodified opinion was expressed on those statements on April 29, 2025. Accordingly, the comparative statement of profit or loss, statement of profit or loss and other comprehensive income and statement of cash flows of the Company for the year ended December 31, 2024 and the relevant notes to the Company's financial statements have not been audited.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Directors and Those Charged with Governance for the Financial Statements

The directors are responsible for the preparation of the financial statements that give a true and fair view in accordance with HKFRS Accounting Standards as issued by the HKICPA and the disclosure requirements of the Hong Kong Companies Ordinance, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion solely to you, as a body, in accordance with section 90 of the Bermuda Companies Act 1981, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with HKSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with HKSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

Auditor's Responsibilities for the Audit of the Financial Statements - continued

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

The engagement partner on the audit resulting in this independent auditor's report is Benjamin Peter Hucklebridge (practising certificate number: P08621).

Deloitte Touche Tohmatsu.

Deloitte Touche Tohmatsu
Certified Public Accountants
Hong Kong
April 27, 2026

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED DECEMBER 31, 2025

	NOTES	2025	2024 (unaudited)
		HK$'m	HK$'m
Insurance revenue	7	5,219	3,650
Insurance service expenses	8	(2,955)	(1,955)
Reinsurance contracts held net expenses	9	(290)	(388)
Net insurance service result		1,974	1,307
Interest income on			
Financial assets not measured at fair value through profit or loss		114	171
Financial assets measured at fair value through profit or loss		4,134	3,400
Other investment return		8,402	312
Net impairment loss on financial assets		1	3
Net investment income		12,651	3,886
Insurance finance expenses from insurance contracts issued		(11,929)	(4,490)
Insurance finance (expenses) income from reinsurance contracts held		(201)	865
Net investment result	10	521	261
Fee income	7	157	148
Finance costs	11	(17)	(92)
Deferred origination costs capitalised	19	122	107
Other operating expenses and staff costs	13	(1,138)	(883)
Share of loss of an associate	15	(42)	(69)
Profit before taxation		1,577	779
Income tax expense	12	(145)	(5)
Profit for the year	13	1,432	774

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2025

	NOTES	2025	2024 (unaudited)
		HK$'m	HK$'m
Profit for the year		1,432	774
Other comprehensive income (expense):			
Items that may be reclassified subsequently to profit or loss:			
Change in fair value of:			
- investments measured at fair value through other comprehensive income		146	50
Reclassification adjustment on disposal of:			
- investments measured at fair value through other comprehensive income		85	(30)
Deferred tax arising from movements of investment revaluation reserve	29	(38)	5
Adjustment on expected credit loss	10	(1)	-
Other comprehensive income for the year		192	25
Total comprehensive income for the year		1,624	799

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF FINANCIAL POSITION
AT DECEMBER 31, 2025

	NOTES	2025	2024
		HK$'m	HK$'m
ASSETS			
Investments in subsidiaries	14	927	318
Investment in an associate	15	-	314
Plant and equipment	16	90	85
Right-of-use assets	18	403	124
Intangible assets	19	3,121	3,448
Reinsurance contract held assets	20	1,813	2,383
Insurance contract assets	20	574	444
Investments in securities	21	137,330	103,043
Derivative financial instruments	22	1,434	783
Loans receivable	23	300	291
Amounts due from an immediate holding company	24	3	-
Amounts due from fellow subsidiaries	24	46	66
Amounts due from subsidiaries	24	48	6
Other debtors, deposits and prepayments	17	1,058	604
Bank balances and cash	25	5,591	4,755
TOTAL ASSETS		152,738	116,664
LIABILITIES			
Insurance contract liabilities	20	137,110	101,529
Reinsurance contract held liabilities	20	483	120
Financial liabilities from investment contracts	20(g)	586	515
Other liabilities	32	3,931	4,960
Amount due to an immediate holding company	24	177	134
Amounts due to fellow subsidiaries	24	217	58
Amounts due to subsidiaries	24	-	4
Deferred tax liabilities	29	138	99
Derivative financial instruments	22	471	117
Financial liabilities from securities lending	6	965	1,051
Tax payable	28	123	26
Lease liabilities	31	416	129
TOTAL LIABILITIES		144,617	108,742
NET ASSETS		8,121	7,922

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF FINANCIAL POSITION
AT DECEMBER 31, 2025 - continued

	NOTES	2025	2024
		HK$'m	HK$'m
EQUITY			
Share capital	26	3,528	3,528
Reserves		4,593	4,394
TOTAL EQUITY		8,121	7,922

The financial statements on pages 11 to 119 were approved and authorised for issue by the Board of Directors on 27 APR 2026 are signed on its behalf by:

Lam Ka Yin
CHIEF EXECUTIVE OFFICER & DIRECTOR

Niall Dermot Grady
DIRECTOR

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2025

	NOTES	Share capital HK$'m	Share premium HK$'m	Investment revaluation reserve HK$'m	Accumulated profits HK$'m	Equity in participating account HK$'m	Total HK$'m
At January 1, 2024		3,528	842	(337)	3,945	-	7,978
Change in fair value of investments measured at fair value through other comprehensive income		-	-	50	-	-	50
Reclassification adjustment on disposal of investments measured at fair value through other comprehensive income		-	-	(30)	-	-	(30)
Deferred tax arising from movements in investment revaluation reserve	29	-	-	5	-	-	5
Other comprehensive income for the year		-	-	25	-	-	25
Profit for the year		-	-	-	774	-	774
Dividends paid		-	-	-	(855)	-	(855)
Total comprehensive income (loss) for the year		-	-	25	(81)	-	(56)
At December 31, 2024		3,528	842	(312)	3,864	-	7,922
Change in fair value of investments measured at fair value through other comprehensive income		-	-	146	-	-	146
Reclassification adjustment on disposal of investments measured at fair value through other comprehensive income		-	-	85	-	-	85
Deferred tax arising from movements in investment revaluation reserve	29	-	-	(38)	-	-	(38)
Adjustment on expected credit loss		-	-	(1)	-	-	(1)
Other comprehensive income for the year		-	-	192	-	-	192
Profit for the year		-	-	-	1,432	-	1,432
Profit transferred to participating account	27	-	-	-	(92)	92	-
Dividends paid		-	-	-	(1,425)	-	(1,425)
Total comprehensive income (loss) for the year		-	-	192	(85)	92	199
At December 31, 2025		3,528	842	(120)	3,779	92	8,121

SUN LIFE HONG KONG LIMITED
香港永明金融有限公司

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2025

	NOTES	2025	2024 (unaudited)
		HK$'m	HK$'m
OPERATING ACTIVITIES			
Profit before taxation		1,577	779
Adjustments for:			
Dividend income		(751)	(495)
Interest income on debt securities		(4,039)	(3,326)
Other interest income		(209)	(245)
Share of loss of an associate	15	42	69
Finance costs	11	17	92
Depreciation of plant and equipment	16	38	15
Depreciation of right-of-use assets	18	120	130
Amortisation of intangible assets	19	336	252
Net realised and unrealised (gain) loss on investments		(8,091)	114
Impairment loss of investments under expected credit loss model	10	286	63
Operating cash flow before movements in working capital		(10,674)	(2,552)
Decrease (increase) in restricted cash	25	243	(218)
Increase in insurance contract liabilities		35,581	12,837
(Increase) decrease in insurance contract assets		(130)	35
Increase in financial liabilities from investment contracts		71	44
Increase (decrease) in reinsurance contract held liabilities		363	(188)
Decrease (increase) in reinsurance contract held assets		570	(1,302)
Increase in amount due from an immediate holding company		(3)	-
Increase in amount due to an immediate holding company		43	40
Decrease (increase) in amounts due from fellow subsidiaries		20	(3)
Increase in amounts due to fellow subsidiaries		159	20
(Increase) decrease in amounts due from subsidiaries		(42)	31
(Decrease) increase in amounts due to subsidiaries		(4)	4
Decrease in other debtors and deposits		93	167
Increase in prepayments		(335)	(269)
(Decrease) increase in other liabilities		(1,484)	2,118
Cash generated from operations		24,471	10,764
Income tax (paid) refunded	28	(46)	14
NET CASH FROM OPERATING ACTIVITIES		24,425	10,778

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2025 - continued

	NOTES	2025	2024 (unaudited)
		HK$'m	HK$'m
INVESTING ACTIVITIES			
Dividends and interest received on investments in securities		3,982	3,586
Dividends received from subsidiaries		550	235
Other interest received		209	244
Purchase of investments in securities		(87,983)	(32,634)
Proceeds on disposal of investments in securities		62,807	18,904
Purchase of plant and equipment	16	(43)	-
Purchase of intangible assets	19	(219)	(60)
Acquisition of subsidiaries	14	(338)	-
Increase in derivative financial liabilities		354	64
Increase in derivative financial assets		(1,021)	(186)
Decrease in financial liabilities from securities lending		(86)	(50)
NET CASH USED IN INVESTING ACTIVITIES		(21,788)	(9,897)
FINANCING ACTIVITIES			
Repayment of subordinated loan		-	(560)
Increase in loans receivable		(9)	(19)
Payments of lease liabilities	35	(124)	(143)
Interest paid on subordinated loans	35	-	(17)
Dividends paid		(1,425)	(855)
NET CASH USED IN FINANCING ACTIVITIES		(1,558)	(1,594)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS		1,079	(713)
CASH AND CASH EQUIVALENTS AT JANUARY 1		3,030	3,743
CASH AND CASH EQUIVALENTS AT DECEMBER 31		4,109	3,030
Comprising:			
Cash at bank and in hand	25	4,109	3,030

1. GENERAL

The Company is an exempted company incorporated under the laws of the Islands of Bermuda with limited liability. Its immediate holding company is Sun Life Assurance Company of Canada ("Sun Life Assurance"), incorporated in Canada, and its ultimate holding company is Sun Life Financial Inc. ("SLF"). The addresses of the registered office and principal place of business of the Company are Victoria Place, 5th Floor, 31 Victoria Street, Hamilton, Bermuda and 16th Floor, MU Tower A, No. 18 Hung Luen Road, Hunghom, Kowloon, Hong Kong, respectively.

The Company continues to be engaged in underwriting long term insurance business and retirement business in Hong Kong. Details of the principal activities of the Company's subsidiaries are set out in note 14 to the financial statements.

The financial statements are presented in Hong Kong dollars ("HK$"), which is also the functional currency of the Company.

2. APPLICATION OF NEW AMENDMENTS TO HKFRS ACCOUNTING STANDARDS

Amendments to HKFRS Accounting Standards that are mandatorily effective for the current year

The Company has applied the following new and amendments to HKFRS Accounting Standards issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA") for the first time, which are mandatorily effective for the annual periods beginning on or after January 1, 2025 for the preparation of the financial statements.

Amendments to HKAS 21	Lack of Exchangeability

The application of the amendments to HKFRS Accounting Standards in the current year has had no material impact on the Company's financial performance and positions for the current and prior years and/or on the disclosures set out in these financial statements.

2. APPLICATION OF NEW AMENDMENTS TO HKFRS ACCOUNTING STANDARDS - continued

Amendments to HKFRS Accounting Standards in issue but not yet effective

The Company has not early applied the following new and amendments to HKFRS Accounting Standards that have been issued but are not yet effective:

Amendments to HKAS 21	Translation to a Hyperinflationary Presentation Currency[3]
Amendments to HKFRS 9 and HKFRS 7	Amendments to the Classification and Measurement of Financial Instruments[2]
Amendments to HKFRS 9 and HKFRS 7	Contracts Referencing in Nature-dependent Electricity[2]
Amendments to HKFRS 10 and HKAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture[1]
Amendments to HKFRS Accounting Standards	Annual Improvements to HKFRS Accounting Standards – Volume 11[2]
HKFRS 18	Presentation and Disclosure in Financial Statements[3]
HKFRS 19	Subsidiaries without Public Accountability: Disclosure[3]
Amendments to HKFRS 19	Amendments to Subsidiaries without Public Accountability: Disclosures[3]

[1] Effective for annual periods beginning on or after a date to be determined.
[2] Effective for annual periods beginning on or after January 1, 2026.
[3] Effective for annual periods beginning on or after January 1, 2027.

The directors of the Company anticipate that the application of these new and amendment to HKFRSs will have no material impact on this financial statements in the foreseeable future, except for HKFRS 18, which is expected to change the presentation and disclosures of the Company's financial statements but is not expected to impact the financial position or net results of the Company.

3. MATERIAL ACCOUNTING POLICY INFORMATION

Basis of preparation

These financial statements have been prepared in accordance with HKFRS Accounting Standards issued by the HKICPA and the disclosure requirements of the Hong Kong Companies Ordinance ("HKCO"). Material accounting policies adopted by the Company are disclosed below.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Basis of preparation - continued

The Company is exempted from the preparation of consolidated financial statements in compliance with HKFRS 10 Consolidated Financial Statements. The Company is a wholly owned subsidiary of Sun Life Assurance. Its ultimate parent, SLF, produces consolidated financial statements in accordance with IFRS Accounting Standards which are available for public use. SLF is incorporated in Canada and its consolidated financial statements are available at https://www.sunlife.com. Also, the Company's debt or equity instruments are not traded in a public market.

Following the implementation of the Risk-Based Capital regime and amendments to the Insurance Ordinance (Cap. 41), the Company, as a wholly owned subsidiary of Sun Life Assurance, is exempted to prepare consolidated financial statements in accordance with the exemption requirement under Section 379(3)(a) of the HKCO. Accordingly, directors have resolved to prepare standalone financial statements for the year ended December 31, 2025. Prior year comparatives have been restated to align with the standalone presentation.

The financial statements have been prepared on the historical cost basis, except for certain investment in a subsidiary that is an investment fund, financial instruments that are measured at fair value, for insurance and reinsurance contracts that are measured using estimates of future cash flows, as explained in the accounting policies set out below.

Historical cost is generally based on the fair value of the consideration paid in exchange for goods and services when they are purchased.

Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for share-based payment transactions that are within the scope of HKFRS 2 Share-based payment, leasing transactions that are accounted for in accordance with HKFRS 16 Leases ("HKFRS 16"), and measurements that have some similarities to fair value but are not fair value, such as value in use in HKAS 36 Impairment of Assets.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

In addition, for financial reporting purposes, fair value measurements are categorised into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Fair value - continued

- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

As pricing inputs become more or less observable, assets are transferred between levels in the hierarchy.

Investments in subsidiaries

Investments in subsidiaries, other than subsidiary that is an investment fund, is included in the Company's statement of financial position at cost less any identified impairment loss. The results of subsidiaries other than investment fund are accounted for by the Company on the basis of dividends received or receivable.

Investment in a subsidiary, that is an investment fund, is classified as a financial asset and is stated at fair value through profit or loss.

Investment in an associate

An associate is an entity over which the Company has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of the associate are incorporated in these financial statements using the equity method of accounting. Under the equity method, an investment in an associate is initially recognised in the statement of financial position at cost and adjusted thereafter to recognise the Company's share of the profit or loss and other comprehensive income of the associate. When the Company's share of losses of an associate exceeds the Company's interest in that associate (which includes any long-term interests that, in substance, form part of the Company's net investment in the associate), the Company discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Company has incurred legal or constructive obligations or made payments on behalf of the associate.

On acquisition of the interest in an associate, any excess of the cost of the investment over the Company's share of the net fair value of the identifiable assets and liabilities of the investee is recognised as goodwill, which is included within the carrying amount of investment. Any excess of the Company's share of the net fair value of the identifiable assets and liabilities over the cost of the investment, after reassessment, is recognised immediately in profit or loss in the period in which the investment is acquired.

Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of the acquisition of the business less accumulated impairment losses, if any.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Goodwill - continued

For the purposes of impairment testing, goodwill arising from an acquisition is allocated to each of the relevant cash-generating units, or groups of cash-generating units, that are expected to benefit from the synergies of the acquisition, which represent the lowest level at which the goodwill is monitored for internal management purposes and not larger than an operating segment.

A cash-generating unit, or groups of cash-generating units, to which goodwill has been allocated is tested for impairment annually or more frequently when there is an indication that the unit may be impaired. For goodwill arising on an acquisition in a reporting period, the cash-generating unit, or groups of cash-generating units, to which goodwill has been allocated is tested for impairment before the end of that reporting period. Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset (or a cash-generating unit) for which the estimates of future cash flows have not been adjusted. When the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated to reduce the carrying amount of any goodwill allocated to the unit first, and then to the other assets of the unit pro rata on the basis of the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in the statement of profit or loss. An impairment loss for goodwill is not reversed in subsequent periods.

On disposal of a business operation, the attributable amount of goodwill capitalised is included in the determination of the amount of profit or loss on disposal.

Revenue from contracts with customers

The Company recognises revenue when (or as) a performance obligation is satisfied, i.e. when "control" of the goods or services underlying the particular performance obligation is transferred to the customer.

A performance obligation represents a good or service (or a bundle of goods or services) that is distinct or a series of distinct goods or services that are substantially the same.

Control is transferred over time and revenue is recognised over time by reference to the progress towards complete satisfaction of the relevant performance obligation if one of the following criteria is met:

- the customer simultaneously receives and consumes the benefits provided by the Company's performance as the Company performs;
- the Company's performance creates or enhances an asset that the customer controls as the Company performs; or
- the Company's performance does not create an asset with an alternative use to the Company, and the Company has an enforceable right to payment for performance completed to date.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Revenue from contracts with customers - continued

Otherwise, revenue is recognised at a point in time when the customer obtains control of the distinct good or service.

A contract asset represents the Company's right to consideration in exchange for goods or services that the Company has transferred to a customer that is not yet unconditional. It is assessed for impairment in accordance with HKFRS 9. In contrast, a receivable represents the Company's unconditional right to consideration, i.e. only the passage of time is required before payment of that consideration is due.

A contract liability represents the Company's obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer.

A contract asset and a contract liability relating to the same contract are accounted for and presented on a net basis.

Investment contract fees charged for managing investments are recognised as revenue as the services are provided. Given these services are rendered uniformly over time and are directly proportionate to the amount of assets under management, the revenue is recognised as a stable percentage of assets under management over the period. The Company provides these services for investment contracts without direct participating features ("DPF") which combine a financial instrument and an investment management service obligation and for Mandatory Provident Fund ("MPF") contracts which are pure investment management service contracts.

Asset management fee income is generally recognised at a certain percentage of the adjusted daily net asset values of the funds under management.

Plant and equipment

Plant and equipment are tangible assets that are held for use in production or supply of services or for administrative purposes. Plant and equipment are stated in the statement of financial position at cost less subsequent accumulated depreciation and accumulated impairment losses, if any.

Depreciation is recognised so as to write off the cost of items of plant and equipment less their residual value over their estimated useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on derecognition or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset is recognised in the profit or loss.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Intangible assets

Bancassurance arrangement between the Company and Dah Sing Bank, Limited ("DSB")

A bancassurance arrangement of 15 years from July 1, 2023 to June 30, 2038 has been entered between the Company, DSB and Dah Sing Financial Holdings Limited (the parent company of DSB). Such agreement is qualified to be an intangible asset as it is a non-monetary asset without physical substance, and is identifiable through the distribution agreement with DSB, and has future economic benefits arising from the sales through the bancassurance arrangement, which is controlled by SLHK as the exclusive supplier of DSB.

The upfront access fee paid by the Company to DSB is recognised as an intangible asset and amortised over the bancassurance term of 15 years. Any expenses relating to the sales of insurance contracts under HKFRS 17 are further reclassified to become part of the contractual service margin ("CSM") of the related product cohorts as they are directly attributable acquisition expenses under HKFRS 17.

Subsequent to initial recognition, intangible assets are reported at cost less accumulated amortization and accumulated impairment losses (if any), on the same basis as intangible assets that are internally-generated.

Deferred Origination Costs ("DOC")

Incremental costs of obtaining a contract

Origination costs are the incremental costs which are directly attributable to securing an investment management contract. The MPF contracts and the contracts that involve the provision of investment management services recognise DOC assets in accordance with HKFRS 15. The origination costs include commissions, and other incremental costs that are directly attributable to securing an investment management contract. An incremental cost is one that would not have been incurred if the entity had not secured the investment management contract. Origination costs on contracts with investment management services are deferred for one portfolio of contracts as set out in note 19.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Intangible assets - continued

Deferred Origination Costs ("DOC") - continued

Incremental costs of obtaining a contract - continued

The Company recognises such costs (sales commissions and other distribution costs) as an asset if the Company expects to recover these costs and those costs are essential to incur in order to obtain a contract with customer under HKFRS 15. The recognised asset is subsequently amortised to profit or loss in line with the revenue recognition from the provision of investment management services over time.

Impairment of non-financial assets other than goodwill (see the accounting policy in respect of goodwill above)

At the end of the reporting period, the Company reviews the carrying amounts of non-financial assets with finite useful lives to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Financial instruments

Financial assets and financial liabilities are recognised in the Company's statements of financial position when a group entity becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets or financial liabilities at fair value through profit or loss ("FVTPL")) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or where appropriate, a shorter period to the net carrying amount on initial recognition.

Financial assets

Classification and subsequent measurement of financial assets

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income ("FVTOCI") or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition, unless the Company changes its business model for managing financial assets in which case all affected financial assets are reclassified at the beginning of the reporting period during which the business model has changed.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt security is measured at FVTOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity security that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in other comprehensive income on an investment-by-investment basis.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Financial assets at FVTPL

Financial assets and liabilities at FVTPL comprise two categories:

- financial assets or liabilities mandatorily classified as at FVTPL; and
- financial assets or liabilities designated at FVTPL upon initial recognition.

Management designates financial assets and liabilities at FVTPL if this eliminates a measurement or recognition inconsistency or if the liabilities are actively managed on a fair value basis, including among others debt securities held in participating funds and other participating business with distinct portfolios.

All financial assets not classified as measured at amortised cost or FVTOCI as described above are measured at FVTPL. In addition, on initial recognition the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVTOCI as at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

The net gain or loss recognised in profit or loss includes any dividend or interest earned on the financial asset and is included in the "net investment income" line item.

Transaction costs in respect of financial assets and liabilities at fair value through profit or loss are expensed as they are incurred.

Financial assets at FVTOCI

These principally consist of the Company's debt securities (other than those backing participating funds, other participating business with distinct portfolios and unit-linked contracts). These financial assets are initially recognised at fair value plus attributable transaction costs and are subsequently measured at fair value. The difference between their cost and par value is amortised. Interest revenue is recognised in investment return in the statement of profit or loss using the effective interest method.

Unrealised gains and losses on securities are analysed between differences resulting from foreign currency translation, and other fair value changes. Foreign currency translation differences are calculated as if they were carried at amortised cost and so are recognised in the statement of profit or loss as other investment return. For impairments, reference is made to the section "Impairment of financial assets".

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Financial assets at FVTOCI - continued

Changes in the fair value of securities, except for impairment losses and relevant foreign exchange gains and losses, are recognised in other comprehensive income. Impairment losses and relevant foreign exchange gains and losses are recognised in the statement of profit or loss.

When debt instruments are derecognised, the cumulative gains or losses previously recognised in other comprehensive income are reclassified to profit or loss. The cumulative gain or loss is not reclassified to profit or loss on disposal of the equity investments

Subsequent measurement

Equity securities, debt securities, mortgages and loans, that are classified or designated at FVTPL are recorded at fair value in the Company's statement of financial position, and gains or losses, including interest income, dividend income and foreign exchange gains and losses, are recognised in net investment income (loss) in the Company's statement of profit or loss.

Debt securities and mortgages and loans that are classified as FVTOCI are recorded at fair value. Interest income, foreign exchange gains (losses), and impairment are recognised in Net investment income (loss) in the Company's statement of profit or loss. Other gains or losses are recognised in OCI.

Other financial invested assets include investments in limited partnerships, segregated funds, mutual funds, that are classified as FVTPL. These financial assets are recorded at fair value, and gains or losses are recognised in net investment income (loss) in the Company's statement of profit or loss.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Cash equivalents are classified as FVTPL and the fair values are assumed to approximate their carrying values, due to their short-term nature or because they are frequently repriced to current market rates. Short-term securities are those that have a term to maturity exceeding three months but less than one year. The fair value of short-term securities is approximated by their carrying amount.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Derecognition

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset measured at amortised cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in profit or loss. On derecognition of an investment in a debt instrument/receivables classified as at FVTOCI, the cumulative gain or loss previously accumulated in the FVTOCI reserve is reclassified to profit or loss. On derecognition of an investment in equity instrument which the Company has elected on initial recognition to measure at FVTOCI, the cumulative gain or loss previously accumulated in the FVTOCI reserve is not reclassified to profit or loss.

Realised gains or losses on disposal of investments in securities are recognised on a trade date basis.

Impairment

We establish an allowance for expected credit losses ("ECL") for financial assets measured at amortised and debt instruments classified or designated at FVTOCI. The allowance for ECL on financial assets measured at FVTOCI, including debt securities and mortgages and loans, does not reduce the carrying amount of the assets in the Company's statement of financial position, which remains at fair value. Rather, an amount equal to the allowance for ECL that would arise if the assets were measured at amortised cost is recognised in OCI, with changes in the allowance for ECL recognised in provision for credit losses in the Company's statement of profit or loss.

At the end of each reporting period, we apply a three-stage impairment approach to measure the ECL on financial assets measured at FVTOCI and amortised cost:

- Stage 1: For financial assets that have not experienced a significant increase in credit risk since the date of initial recognition, a loss allowance equal to the credit losses expected to result from default events occurring over the 12 months following the reporting date is recognised.
- Stage 2: For financial assets that have experienced a significant increase in credit risk since the date of initial recognition, a loss allowance equal to the credit losses expected to result from default events occurring over the remaining lifetime of the financial asset is recognised.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Impairment - continued

- Stage 3: When a financial asset is considered to be credit-impaired, a loss allowance equal to the ECL over the remaining lifetime of the financial asset is recognised. Interest income is calculated based on the carrying amount of the asset, net of the loss allowance.

We monitor all financial assets that are subject to impairment for significant increase in credit risk. In making this assessment, we consider both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

Significant increase in credit risk

The assessment of significant increase in credit risk requires judgment. We assign counterparties a relevant internal credit risk rating grade depending on their credit quality. Changes in borrower-specific internal risk ratings are a primary indicator of significant increase in credit risk.

At each reporting date, movements between Stage 1 and Stage 2 are determined based on whether an instrument's internal rating as at the reporting date has increased (decreased) significantly relative to the date it was initially recognised. We assess whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the remaining expected life from the reporting date and the date of initial recognition. The assessment considers borrower-specific quantitative and qualitative information without consideration of collateral, and the impact of forward-looking macroeconomic factors. Unless identified at an earlier stage, the credit risk of financial assets is deemed to have increased significantly when more than 30 days past due or moved to "Watch List" status and such assets are automatically migrated to Stage 2. Exposures are classified as "Watch List" when there is a moderate deterioration in credit quality, but the full payment of principal and interest is still expected to be collected, or there is an increased possibility of the worsening credit rating in the near term.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Impairment - continued

Incorporation of forward-looking information

The measurement of ECL for each stage and the assessment of significant increase in credit risk consider future events and economic conditions. The probability of default ("PD"), loss given default ("LGD") and exposure at default ("EAD") inputs used to estimate allowance for ECL are modelled based on the macroeconomic variables (or changes in macroeconomic variables) that are most closely correlated with credit losses in the relevant portfolio. Our estimation of ECL is a discounted probability-weighted estimate that considers a minimum of three future macroeconomic scenarios (base case, upside and downside) and probability weights are attributed to each scenario. The key macroeconomic variables included in these scenarios include GDP growth rates and unemployment rates. All scenarios considered are applied to all portfolios subject to ECL with the same probabilities. Our assessment of significant increase in credit risk is based on changes in internal rating as at the reporting date.

We subscribe to Moody's Analytics economic forecasting services and leverage its forward-looking macroeconomic information to model ECL.

Modified financial assets

The contractual terms of a financial asset may be modified for a number of reasons, including changing market conditions and other factors not related to a current or potential credit deterioration of the borrower. An existing financial asset whose terms have been modified may be derecognised and the renegotiated asset recognised as a new financial asset at fair value in accordance with the accounting policies in this note. The key judgment is whether the modification is substantive, determined by comparing the discounted present value of new cash flows to the original, or if the contractual rights expire. When the present value of the cash flows under the new terms, discounted at the original effective interest rate, differs by at least 10% from the present value of the remaining cash flows of the original asset, it would be considered as an indicator that the modification could trigger a derecognition of an existing financial asset.

If modification does not result in derecognition, the financial asset continues to be subject to the assessment for significant increase in credit risk relative to initial recognition. Expected cash flows arising from the modified contractual terms are considered when calculating the ECL for the modified asset. For loans that were modified while having lifetime ECLs, such loans can revert to having 12-month ECLs if the borrower's financial condition that led to it being identified as credit-impaired are no longer present.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial assets - continued

Impairment - continued

Definition of default

The definition of default used in the measurement of ECL is consistent with the definition of default used for our internal credit risk management purposes. We consider a financial asset to be in default when the issuer is unlikely to meet its credit obligations in full, without recourse action on our part, or when the financial asset is 90 days past due. Our definition of default may differ across financial assets and consider qualitative factors, such as the terms of financial covenants, breaches of such covenants, and other indicators of financial distress, as well as quantitative factors, such as overdue status and non-payment of other obligations under the same issuer. We use internally developed data and those obtained from external sources when assessing default.

Credit-impaired financial assets (Stage 3)

At each reporting date, we assess whether financial assets measured at FVTOCI are credit-impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence of credit-impairment may include indications that the borrower is experiencing significant financial difficulty, probability of bankruptcy or other financial reorganization, as well as a measurable decrease in the estimated future cash flows evidenced by the adverse changes in the payments status of the borrower or economic conditions that correlate with defaults. If a financial asset is credit-impaired, interest income is calculated based on the carrying amount of the asset, which is net of the allowance for ECL, rather than on the gross carrying amount.

Write-off of financial assets

The gross carrying amount of a financial asset, and the related allowance for ECL, is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when we determine that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with procedures for recovery of amounts due. A write-off constitutes a derecognition event. Any subsequent recoveries are recognised in profit or loss.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by the Company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

Other financial liabilities

Other financial liabilities, including amounts due to immediate holding company/fellow subsidiaries, other liabilities and subordinated loans are subsequently measured at amortised cost, using the effective interest method.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or where appropriate, a shorter period, to the net carrying amount on initial recognition.

Interest expense is recognised on an effective interest basis.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Financial instruments - continued

Financial liabilities and equity instruments - continued

Derecognition

The Company derecognises a financial liability when, and only when, the Company's obligations are discharged, cancelled or expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Derivative financial instruments

The Company uses derivative financial instruments such as interest rate and foreign exchange swap contracts and forward foreign exchange contracts to hedge the risks associated with interest rate and foreign currency fluctuations. Such derivative financial instruments are recognised on a trade date basis and are initially measured at fair value at the date when derivative contracts are entered into and are subsequently remeasured to their fair value at the end of the reporting period. The resulting gain or loss is recognised in profit or loss.

Financial liabilities from securities lending

Financial assets lent under securities lending agreements are not derecognised. They continue to be retained in the statement of financial position, and the consideration received is recorded as a financial liability.

Insurance and reinsurance contracts

Classification

Contracts under which the Company accepts significant insurance risk are classified as insurance contracts. Contracts held by the Company under which it transfers significant insurance risk related to underlying insurance contracts are classified as reinsurance contracts. The key defining features of an insurance contract are:

- the transfer of risk from the policyholder to the entity;
- the transfer of insurance risk (vs. financial risk); and
- the transfer of significant insurance risk.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Classification - continued

A contract does not transfer significant insurance risk if there is no scenario with commercial substance in which the entity can suffer a loss on a present value basis. Insurance and reinsurance contracts also expose the Company to financial risk.

Insurance contracts may be issued and reinsurance contracts may be purchased by the Company. All references in these accounting policies to 'insurance contracts' and 'reinsurance contracts' include contracts issued or purchased by the Company, unless otherwise stated.

For any contracts entered into by the Company that have the legal form of insurance contracts but do not transfer significant insurance risk, these contracts are classified as financial liabilities and are referred to as 'investment contracts'.

Insurance contracts are classified as direct participating contracts or contracts without direct participation features. Direct participating contracts are contracts for which, at inception:

- the contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items;
- the Company expects to pay the policyholder an amount equal to a substantial share of the fair value returns on the underlying items; and
- the Company expects a substantial proportion of any change in the amounts to be paid to the policyholder to vary with the change in fair value of the underlying items.

Investment contracts with DPF

The Company measures these contracts applying the variable fee approach ("VFA").

Combination and Separation of Contracts

At inception, the Company separates the following components from an insurance contract or a reinsurance contract held and accounts for them as if they were stand-alone financial instruments:

- derivatives embedded in the contract whose economic characteristics and risks are not closely related to those of the host contract, and whose terms would not meet the definition of an insurance contract or a reinsurance contract held as a stand-alone instrument; and
- distinct investment components - i.e. investment components that are not highly interrelated with the insurance components and for which contracts with equivalent terms are sold, or could be sold, separately in the same market or the same jurisdiction.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Combination and Separation of Contracts - continued

After separating any financial instrument components, the Company separates any promises to transfer distinct goods or services other than insurance coverage and investment services and accounts for them as separate contracts with customers (i.e. not as insurance contracts). A good or service is distinct if the policyholder can benefit from it either on its own or with other resources that are readily available to the policyholder. A good or service is not distinct and is accounted for together with the insurance component if the cash flows and risks associated with the good or service are highly interrelated with the cash flows and risks associated with the insurance component, and the Company provides a significant service of integrating the good or service with the insurance component.

Investment components

The Company identifies the investment component of an insurance contract by determining the amount that it would be required to repay the policyholder in all circumstances, regardless of whether an insured event occurs. Investment components of insurance contracts are treated as separate investment contracts only if the investment component is not highly interrelated with the insurance component and a contract with equivalent terms could be sold separately in the same market. Investment components that are not separated are accounted for as non-distinct investment components of insurance contracts.

Service components

Service components of insurance contracts are treated as separate service contracts only if the service component is not highly interrelated with the insurance component and we provide no significant service in integrating the service component with the insurance component. Service components that are not separated are accounted for with insurance contracts.

Insurance components

Insurance components of insurance contracts are treated as separate contracts only if the insurance component constitutes a separate insurance contract (e.g., certain reinsurance treaties that transfer risk on different types of insurance contracts).

For insurance contracts where both parties to the contract have the practical ability to terminate the contract, the extension of the contract beyond the termination date is treated as a new and separate contract. This occurs for most group life and health insurance contracts every year, when we have the right to reprice the contract and the policyholder has the option to not renew the contract. In such instances, each renewal is considered a new and separate contract. This also applies for many reinsurance contracts held, where the reinsurer has the right to reprice new cessions and we have the right to cease ceding new contracts with a notice period. In such instances, the cessions within each notice period are considered a new and separate reinsurance contract held.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Level of aggregation and recognition

Insurance contracts

Insurance contracts are aggregated into groups for measurement purposes. Groups of contracts are determined by identifying portfolios of insurance contracts, each comprising contracts subject to similar risks and managed together, and dividing each portfolio into annual cohort and each annual cohort into three groups based on the profitability of contracts:

- any contracts that are onerous on initial recognition;
- any contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently; and
- any remaining contracts in the portfolio.

An insurance contract issued by the Company is recognised from the earliest of:

- the beginning of its coverage period (i.e. the period during which the Company provides services in respect of any premiums within the boundary of the contract);
- when the first payment from the policyholder becomes due or, if there is no contractual due date, when it is received from the policyholder; and
- when facts and circumstances indicate that the contract is onerous.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Level of aggregation and recognition - continued

Insurance contracts - continued

An insurance contract acquired in a transfer of contracts or a business combination is recognised on the date of acquisition.

When the contract is recognised, it is added to an existing group of contracts or, if the contract does not qualify for inclusion in an existing group, it forms a new group to which future contracts are added. Groups of contracts are established on initial recognition and their composition is not revised once all contracts have been added to the group.

Reinsurance contracts held

Reinsurance contracts held by the Company cover underlying insurance contracts and they are aggregated into groups for measurement purposes. Reinsurance contracts are grouped into portfolios in accordance with the direct portfolios. The reinsurance portfolios are further split by cohort so that the reinsurance treaty within the same cohort will not be longer than one year apart in terms of issue date.

A group of reinsurance contracts held is recognised on the following dates:

- Reinsurance contracts held that provide proportionate coverage: generally later of the beginning of the coverage period of the group of reinsurance contracts held, or the date on which any underlying insurance contract is initially recognised. However, if the Company recognises an onerous group of underlying insurance contracts on an earlier date and the related reinsurance contract held was entered into on or before that earlier date, then the group of reinsurance contracts held is recognised on that earlier date.
- Other reinsurance contracts held: The beginning of the coverage period of the group of reinsurance contracts held.

Fulfilment cash flows and contract boundaries

Fulfilment cash flows

Fulfilment cash flows comprise:

- present value of future cash flows (including the provisions for financial risk);
- an adjustment to reflect the time value of money and the financial risks related to future cash flows, to the extent that the financial risks are not included in the estimates of future cash flows; and
- a risk adjustment for non-financial risk.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Fulfilment cash flows and contract boundaries - continued

Fulfilment cash flows - continued

Further details of the related methodology and assumptions in respect of estimation of fulfilment cash flows are provided in note 20.

Contract boundaries

The measurement of a group of contracts includes all of the future cash flows within the boundary of each contract in the group, determined as follows.

In respect of insurance contracts, cash flows are within the boundary of a contract if they arise from substantive rights and obligations that exist during the reporting period under which the Company can compel the policyholder to pay premiums or has a substantive obligation to provide insurance contract services.

A substantive obligation to provide insurance contract services ends when:

- the Company has the practical ability to reassess the risks of the particular policyholder and can set a price or level of benefits that fully reflects those reassessed risks; or
- the Company has the practical ability to reassess the risks of the portfolio that contains the contract and can set a price or level of benefits that fully reflects the risks of that portfolio; and
- the pricing of the premiums for coverage up to the reassessment date does not take into account risks that relate to periods after the reassessment date.

In respect of reinsurance contracts held, cash flows are within the contract boundary if they arise from substantive rights and obligations that exist during the reporting period in which the Company is compelled to pay amounts to the reinsurer or has a substantive right to receive services from the reinsurer.

A substantive right to receive services from the reinsurer ends when the reinsurer:

- has the practical ability to reassess the risks transferred to it and can set a price or level of benefits that fully reflects those reassessed risks; or
- has a substantive right to terminate the coverage.

The contract boundary is reassessed at each reporting date to include the effect of changes in circumstances on the Company's substantive rights and obligations and, therefore, may change over time.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Insurance acquisition cash flows

Insurance acquisition cash flows are allocated to groups of contracts using a systematic and rational allocation method and considering, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort. At each reporting date, the Company revises the amounts allocated to groups to reflect any changes in assumptions that determine the inputs to the allocation method used. Amounts allocated to a group are not revised once all contracts have been added to the group.

Measurement - Insurance contracts not measured under the premium allocation approach ("PAA")

Initial measurement

On initial recognition, the Company measures a group of contracts as the total of: (a) the fulfilment cash flows, which comprise estimates of future cash flows, an adjustment to reflect time value of money and associated financial risks, and a risk adjustment for non-financial risk; and (b) the CSM.

The measurement of the fulfilment cash flows of a group of contracts does not reflect the Company's non-performance risk.

The risk adjustment for non-financial risk for a group of contracts, determined separately from other estimates, represents the compensation required by the Company for bearing uncertainty related to the amount and timing of the cash flow that arises from non-financial risk (mortality, morbidity, surrender and expenses, etc.). The risk adjustment is reduced as the non-financial risks of our insurance contracts diminish over time ("release of risk adjustment"). This amount is measured as the present value of the difference between estimated future cash flows with a margin applied to non-financial assumptions and estimated future cash flows without this adjustment. A margin is assessed for each non-financial assumption. Margins can take different forms but usually as a percentage of best estimate assumption and applied in the direction that results in larger liability. Margins generally range from 5% to 20% of best estimate assumption depending on the uncertainty in the determination of the assumption. The level of uncertainty, and hence the margin chosen, varies by assumption and by line of business and other factors. Considerations that would generally lead to a choice of margin at the higher end of the range are as follows:

- The statistical credibility of our experience is too low to be the primary source of data for choosing the assumption;
- Future experience is difficult to estimate;
- The cohort of risks lacks homogeneity;
- Operational risks adversely impact the ability to estimate the assumption; or
- Past experience may not be representative of future experience and the experience may deteriorate.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Insurance contracts not measured under the PAA - continued

Initial measurement - continued

Margins are generally stable over time and are revised only to reflect changes in the level of uncertainty in the assumptions.

The risk adjustment for reinsurance contracts held represents the amount of risk transferred to the reinsurer. This is measured as the difference between the risk adjustment on the underlying insurance contracts without reinsurance and what the risk adjustment on the underlying insurance contracts would be with reinsurance. The risk adjustment for reinsurance contracts held increases the asset or reduces the liability for reinsurance contracts held.

The risk adjustment confidence interval is calculated at an aggregate group-wide company level. The risk adjustment for insurance contracts corresponds to a confidence interval of approximately 85% to 90% overall.

The CSM of a group of contracts represents the unearned profit that the Company will recognise as it provides services under those contracts. On initial recognition of a group of contracts, if the total of the fulfilment cash flows, any cash flows arising at that date and any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group (including assets for insurance acquisition cash flows) is a net inflow, then the group is not onerous.

In this case, the CSM is measured as the equal and opposite amount of the net inflow, which results in no income or expenses arising on initial recognition.

If the total is a net outflow, then the group is onerous. In this case, the net outflow is recognised as a loss in profit or loss. A loss component is created to depict the amount of the net cash outflows, which determines the amounts that are subsequently presented in profit or loss as reversals of losses on onerous groups and are excluded from insurance revenue.

Subsequent measurement

The carrying amount of a group of insurance contracts at each reporting date is the sum of the liability for remaining coverage ("LRC") and the liability for incurred claims ("LIC"). The LRC comprises (a) the fulfilment cash flows that relate to services that will be provided under the contracts in future periods and (b) any remaining CSM at that date. The LIC includes the fulfilment cash flows for incurred claims and expenses that have not yet been paid, including claims that have been incurred but not yet reported.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Insurance contracts not measured under the PAA - continued

Subsequent measurement - continued

The fulfilment cash flows of groups of contracts are measured at the reporting date using current estimates of future cash flows, current discount rates and current estimates of the risk adjustment for non-financial risk. Changes in fulfilment cash flows are recognised as follows:

- Changes relating to future services are adjusted against the CSM (or recognised in the insurance service result in profit or loss if the group is onerous);
- Changes relating to current or past services are recognised in the insurance service result in profit or loss; and
- Effects of the time value of money, financial risk and changes therein on estimated future cash flows are recognised as insurance finance income or expenses for insurance contracts without direct participation features or adjusted against CSM for insurance contracts with direct participation features.

The CSM of each group of contracts is calculated at each reporting date as follows:

Insurance contracts without direct participation features

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the reporting period, adjusted mainly for:

- the CSM of any new contracts that are added to the group in the period;
- interest accreted on the carrying amount of the CSM during the period, measured at the discount rates determined on initial recognition that are applied to nominal cash flows that do not vary based on the returns on underlying items. The locked-in discount rate is the weighted average of the rates applicable at the date of initial recognition of contracts that joined a group on a quarterly basis. The discount rate used for accretion of interest on the CSM is determined using the top-down approach at inception;
- changes in fulfilment cash flows that relate to future services, except to the extent that:
    - any increases in the fulfilment cash flows exceed the carrying amount of the CSM, in which case the excess is recognised in insurance service expenses and recognised as a loss component in LRC; or
    - any decreases in the fulfilment cash flows adjust the loss component in the LRC and the corresponding amount is recognised in insurance service expenses. If the loss component is reduced to zero, the excess reinstates the CSM;

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Insurance contracts not measured under the PAA - continued

Subsequent measurement – continued

Insurance contracts without direct participation features - continued

- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue for service provided in the period.

Changes in fulfilment cash flows that relate to future services mainly comprise:

- experience adjustments arising from premiums received in the period that relate to future services and related cash flows;
- changes in estimates of the present value of future cash flows in the LRC, measured at the discount rates determined on initial recognition, except for those that relate to the effects of the time value of money, financial risk and changes therein;
- differences between (a) any investment component expected to become payable in the period, determined as the payment expected at the start of the period plus any insurance finance income or expenses related to that expected payment before it becomes payable; and (b) the actual amount that becomes payable in the period;
- differences between (a) any loan to a policyholder expected to become repayable in the period, determined as the repayment expected at the start of the period plus any insurance finance income or expenses related to that expected repayment before it becomes repayable; and (b) the actual amount that becomes repayable in the period; and
- changes in the risk adjustment for non-financial risk that relate to future services.

To determine how to identify a change in discretionary cash flows, the basis is generally determined at inception of the contract. Changes in cash flows arising from the Company's discretion are regarded as relating to future services and accordingly adjust the CSM, these cash flows are determined based on the relevant contract terms, dividend and bonus philosophy.

Insurance contracts with direct participation features

Contracts with direct participation features are contracts under which the Company's obligation to the policyholder is the net of:

- the obligation to pay the policyholder an amount equal to the fair value of the underlying items; and

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Insurance contracts not measured under the PAA - continued

Subsequent measurement - continued

Insurance contracts with direct participation features - continued

- a variable fee in exchange for future services provided by the contracts, being the amount of the Company's share of the fair value of the underlying items less fulfilment cash flows that do not vary based on the returns on underlying items. The Company provides investment services under these contracts by promising an investment return based on underlying items, in addition to insurance coverage.

When measuring a group of contracts with direct participation features, the Company adjusts the fulfilment cash flows for the changes in the obligation to pay policyholders an amount equal to the policyholder's share of the fair value of the underlying items. These changes do not relate to future services and are recognised in profit or loss.

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the reporting period, adjusted mainly for:

- the CSM of any new contracts that are added to the group in the period;
- the change in the amount of the Company's share of the fair value of the underlying items and changes in fulfilment cash flows that relate to future services, except to the extent that:
    - a decrease in the amount of the Company's share of the fair value of the underlying items, or an increase in the fulfilment cash flows that relate to future services, exceeds the carrying amount of the CSM. The excess is recognised in insurance service expenses and recognised as a loss component in LRC; or
    - an increase in the amount of the Company's share of the fair value of the underlying items, or a decrease in the fulfilment cash flows that relate to future service, which adjusts the loss component in the LRC and the corresponding amount is recognised in insurance service expenses. If the loss component is reduced to zero, the excess reinstates the CSM.
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue for service provided in the period.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Insurance contracts measured under the PAA

The Company generally uses the PAA to simplify the measurement of groups of contracts in the following circumstances:

- where the coverage period of each contract in the group of contracts is one year or less; or
- the Company reasonably expects that the resulting measurement of the LRC would not differ materially from the result of applying the accounting policies of contracts not measured under the PAA.

Initial measurement

On initial recognition of each group of contracts, the carrying amount of the LRC is measured at the premiums received on initial recognition minus any insurance acquisition cash flows allocated to the group at that date, and adjusted for amounts arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group.

Subsequent measurement

Subsequently, the carrying amount of the LRC is increased by (i) any premiums received; and (ii) any amortisation of the insurance acquisition cash flows, and decreased by (i) insurance acquisition cash flows paid; (ii) the amount recognised as insurance revenue for coverage provided; and (iii) any investment component paid or transferred to the LIC. On initial recognition of each group of contracts, the Company expects that the time gap between providing each part of the coverage and the related premium due date is not significant. Accordingly, the Company has chosen not to adjust the LRC to reflect the time value of money and the effect of financial risk.

If at any time during the coverage period, facts and circumstances indicate that a group of contracts is onerous, then the Company recognises a loss in profit or loss and increases the LRC to the extent that the current estimates of the fulfilment cash flows that relate to remaining coverage (including the risk adjustment for non-financial risk) exceed the carrying amount of the LRC as loss component. The fulfilment cash flows are adjusted for the time value of money and the effect of financial risk (using current estimates) if the LIC is also adjusted for the time value of money and the effect of financial risk. In subsequent periods, unless facts and circumstances indicate that the group of contracts is no longer onerous, the loss component is remeasured at each reporting date as the difference between the current estimates of the fulfilment cash flows that relate to remaining coverage (including the risk adjustment for non-financial risk) and the carrying amount of the LRC without loss component.

The Company recognises the LIC of a group of insurance contracts for the amount of the fulfilment cash flows relating to incurred claims.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Reinsurance contracts held

Reinsurance contracts held by the Company cover underlying insurance contracts. The reinsurance contracts held portfolios are divided into:

- any contracts on which there is a net gain on initial recognition;
- any contracts on which there is a net cost on initial recognition that is not immediately recognised through profit or loss that have no significant possibility of a net gain arising subsequent to initial recognition; and
- any remaining reinsurance contracts held in the portfolio.

For groups of reinsurance contracts held, the Company applies the same accounting policies as that applied to insurance contracts without direct participation features, with the following modifications.

The carrying amount of a group of reinsurance contracts held at each reporting date is the sum of the asset for remaining coverage and the asset for incurred claims. The asset for remaining coverage comprises (a) the fulfilment cash flows that relate to services that will be received under the contracts in future periods and (b) any remaining CSM at that date.

The Company measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts.

The risk adjustment for non-financial risk is the amount of risk being transferred by the Company to the reinsurer.

On initial recognition, the CSM of a group of reinsurance contracts held represents a net cost or net gain on purchasing reinsurance. It is measured as the equal and opposite amount of the total of (a) the fulfilment cash flows, (b) the amount arising from assets or liabilities previously recognised for cash flows related to the group, before the group is recognised, (c) cash flows arising from the contracts in the group at that date and (d) any income recognised in profit or loss because of onerous underlying contracts recognised at that date. However, if any net cost on purchasing reinsurance coverage relates to insured events that occurred before the purchase of the reinsurance, then the Company recognises the cost immediately in profit or loss as an expense. Effects of the time value of money, financial risk and changes therein on estimated future cash flows are recognised as insurance finance income or expenses for reinsurance contracts without direct participation features or adjusted against CSM for reinsurance contracts with direct participation features.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Reinsurance contracts held - continued

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the reporting period, adjusted for:

- the CSM of any new contracts that are added to the group in the period;
- interest accreted on the carrying amount of the CSM during the period, measured at the discount rates determined on initial recognition that are applied to nominal cash flows;
- income recognised in profit or loss in respect of a loss recognised for onerous underlying contracts. A loss-recovery component is established or adjusted in the asset for remaining coverage of reinsurance contracts held for the amount of income recognised;
- reversals of a loss-recovery component to the extent that they are not changes in the fulfilment cash flows of the group;
- changes in fulfilment cash flows that relate to future services, measured at the discount rates determined on initial recognition, unless the changes result from changes in fulfilment cash flows of onerous underlying contracts, in which case they are recognised in profit or loss and create or adjust a loss-recovery component;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised in profit or loss for the services received in the period.

Reinsurance of onerous underlying insurance contracts

The Company adjusts the CSM of the group to which a reinsurance contract held belongs and as a result recognises income when it recognises a loss on initial recognition of onerous underlying contracts, if the reinsurance contract held is entered into before or at the same time as the onerous underlying contracts are recognised. The adjustment to the CSM is determined by multiplying:

- the amount of the loss that relates to the underlying contracts; and
- the percentage of claims on the underlying contracts that the Company expects to recover from the reinsurance contracts held.

If the reinsurance contract held covers only some of the insurance contracts included in an onerous group of contracts, then the Company uses a systematic and rational method to determine a portion of losses recognised on the onerous group of contracts containing the insurance contracts covered by the reinsurance contract held.

A loss-recovery component is established or adjusted in the asset for remaining coverage of reinsurance contracts held, which determines the amounts that are subsequently presented in profit or loss as reversals of recoveries of losses from the reinsurance contracts held and are excluded from the allocation of reinsurance premiums paid.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Measurement - Reinsurance contracts held - continued

Reinsurance contracts held measured under the PAA

The Company applies the same accounting principles to measure a group of insurance contracts or reinsurance contracts held under the PAA.

If a loss-recovery component is established for a group of reinsurance contracts held measured under the PAA, the Company adjusts the carrying amount of the asset.

Insurance contracts - modification and derecognition

The Company derecognises insurance contracts when:

- the rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired); or
- the contract is modified such that the modification results in a change in the measurement model, or the applicable standard for measuring a component of the contract. In such cases, the Company derecognises the initial contract and recognises the modified contract as a new contract.

Presentation

The Company has presented separately in the statement of financial position the carrying amount of portfolios of insurance contracts issued that are assets, portfolios of insurance contracts issued that are liabilities, portfolios of reinsurance contracts held that are assets and portfolios of reinsurance contracts held that are liabilities. Any assets for insurance acquisition cash flows recognised before the corresponding insurance contracts are recognised are included in the carrying amount of the related portfolios of insurance contracts issued.

The Company disaggregates the amounts recognised in the statement of profit or loss into an insurance service result, comprising insurance revenue and insurance service expenses, and insurance finance income or expenses.

The Company will separate the change in risk adjustment for non-financial risk into financial and non-financial portion.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Presentation - continued

The Company separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

Insurance revenue

The Company's insurance revenue depicts the provision of services arising from a group of insurance contracts at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore the relevant portion for the period of the total consideration for the contracts, (i.e., the amount of premiums paid to the Company adjusted for financing effect (the time value of money) and excluding any investment components). The total consideration for a group of contracts covers amounts related to the provision of services and comprises:

- insurance service expenses, excluding any amounts relating to the risk adjustment for non-financial risk and any amounts allocated to the loss component of the liability for remaining coverage;
- amounts related to income tax that are specifically chargeable to the policyholder;
- the risk adjustment for non-financial risk, excluding any amounts allocated to the loss component of the liability for remaining coverage;
- the CSM release; and
- amounts related to insurance acquisition cash flows.

Loss components

The Company has grouped contracts that are onerous at initial recognition separately from contracts in the same portfolio that are not onerous at initial recognition. Groups that were not onerous at initial recognition can also subsequently become onerous if assumptions and experience changes. The Company has established a loss component of the liability for remaining coverage for any onerous group depicting the future losses recognised.

A loss component represents a notional record of the losses attributable to each group of onerous insurance contracts (or contracts profitable at inception that have become onerous). The loss component is released based on a systematic allocation of the subsequent changes relating to future service in the fulfilment cash flows to: (i) the loss component; and (ii) the liability for remaining coverage excluding the loss component. The loss component is also updated for subsequent changes relating to future service in estimates of the fulfilment cash flows and the risk adjustment for non-financial risk. The systematic allocation of subsequent changes to the loss component results in the total amounts allocated to the loss component being equal to zero by the end of the coverage period of a group of contracts (since the loss component will have been materialised in the form of incurred claims).

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Presentation - continued

Loss-recovery components

When the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

Where a loss component has been set up subsequent to initial recognition of a group of underlying insurance contracts, the portion of income that has been recognised from related reinsurance contracts held is disclosed as a loss-recovery component.

Where a loss-recovery component has been set up at initial recognition or subsequently, the Company adjusts the loss-recovery component to reflect changes in the loss component of an onerous group of underlying insurance contracts.

The carrying amount of the loss-recovery component must not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the Company expects to recover from the group of reinsurance contracts held. On this basis, the loss-recovery component recognised at initial recognition is reduced to zero in line with reductions in the onerous group of underlying insurance contracts and is nil when loss component of the onerous group of underlying insurance contracts is nil.

Net expense from reinsurance contracts held

Net expense from reinsurance contracts held comprises an allocation of reinsurance premiums paid less amounts recovered from reinsurers and commissions from an allocation of reinsurance premiums. The Company treats reinsurance cash flows that are contingent on claims of the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held, and excludes investment components presented on the face of the statement of profit or loss and other comprehensive income. Amounts relating to the recovery of losses relating to reinsurance of onerous direct contracts are included as amounts recoverable from the reinsurer.

The Company presents the amounts received from the reinsurer and an allocation of premiums paid on a net basis.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Insurance and reinsurance contracts - continued

Presentation - continued

Insurance finance income or expenses

Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

- The effect of the time value of money and changes in the time value of money; and
- The effect of financial risk and changes in financial risk.

The Company did not elect to disaggregate insurance finance income or expenses on insurance contracts issued between profit or loss and other comprehensive income because the related financial assets are managed on a fair value basis and measured at fair value through profit or loss.

Revenues

Revenues comprise:

- insurance revenue;
- interest revenue calculated using the effective interest method;
- other investment revenue, which includes net fair value gains on financial assets at FVTPL, net realised gains on financial assets and dividends on equity securities.

Investment contracts

Liabilities for investment contracts without DPF are measured at FVTPL or amortised cost. Contract recorded at FVTPL are measured at fair value at inception and each subsequent reporting period. At each subsequent period, changes in fair value of investment contract liabilities recorded at FVTPL are recorded as net investment income or loss in our statement of profit or loss.

Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (where the effect of the time value of money is material).

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Restructuring Provisions

A restructuring provision is recognised when the Company has developed a detailed formal plan for the restructuring and has raised a valid expectation in those affected that it will carry out the restructuring by starting to implement the plan or announcing its main features to those affected by it. The measurement of a restructuring provision includes only the direct expenditures arising from the restructuring, which are those amounts that are both necessarily entailed by the restructuring and not associated with the ongoing activities of the entity.

Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

For the life and annuity business, the charge for taxation is based on the assessable profit which is deemed to be five percent of the net premium income for the year.

For the other businesses, the tax currently payable is based on taxable profit for the year. Taxable profit differs from "profit before taxation" as reported in the statement of profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The liabilities for current tax are calculated using tax rates that have been enacted or substantively enacted at the end of the reporting period.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries, except where the Company are able to control the reversal of the temporary differences and it is probable that the temporary differences will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset is realised, based on tax rate (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Taxation - continued

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expect, at the end of the reporting period, to recover or settle the carrying amount of their assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied to the same taxable entity by the same taxation authority.

Current and deferred tax are recognised in profit or loss, except when it relates to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. When current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

Share-based payment transactions

For cash-settled share-based payments, the Company measure the goods or services acquired and the liability incurred at the fair value of the liability. At the end of the reporting period, the liability is remeasured at its fair value until the liability is settled, with any changes in fair value recognised in profit or loss.

Foreign currencies

In preparing the financial statement of each individual group entity, transactions in currencies other than the functional currency of that entity (foreign currencies) are recognised at the rates of exchanges prevailing on the dates of the transactions. At the end of the reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences arising on the settlement of monetary items, and on the retranslation of monetary items, are recognised in profit or loss in the period in which they arise. Exchange differences arising on the retranslation of non-monetary items carried at fair value are included in profit or loss for the period except for exchange differences arising on the retranslation of non-monetary items in respect of which gains and losses are recognised directly in other comprehensive income, in which cases, the exchange differences are also recognised directly in other comprehensive income.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Leases

Definition of a lease

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

For contracts entered into or modified on or after the date of initial application of HKFRS 16 or arising from business combinations, the Company assesses whether a contract is or contains a lease based on the definition under HKFRS 16 at inception, modification date or acquisition date, as appropriate. Such contract will not be reassessed unless the terms and conditions of the contract are subsequently changed.

As a lessee

Short-term leases

The Company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option. Lease payments on short-term leases are recognised as expense on a straight-line basis or another systematic basis over the lease term.

Right-of-use assets

The cost of right-of-use assets includes:

- the amount of the initial measurement of the lease liability;
- any lease payments made at or before the commencement date, less any lease incentives received;
- any initial direct costs incurred by the Company; and
- an estimate of costs to be incurred by the Company in dismantling and removing the underlying assets, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease.

Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

Right-of-use assets in which the Company is reasonably certain to obtain ownership of the underlying leased assets at the end of the lease term are depreciated from commencement date to the end of the useful life. Otherwise, right-of-use assets are depreciated on a straight-line basis over the shorter of the assets' estimated useful life and the lease term.

Lease liabilities

At the commencement date of a lease, the Company recognises and measures the lease liability at the present value of lease payments that are unpaid at that date. In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Leases - continued

As a lessee - continued

Lease liabilities - continued

The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable.

After the commencement date, lease liabilities are adjusted by interest accretion and lease payments.

The Company remeasures lease liabilities (and makes a corresponding adjustment to the related right-of-use assets) whenever:

- the lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the related lease liability is remeasured by discounting the revised lease payments using a revised discount rate at the date of reassessment.
- the lease payments change due to changes in market rental rates following a market rent review, in which case the related lease liability is remeasured by discounting the revised lease payments using the initial discount rate.

Lease modifications

The Company accounts for a lease modification as a separate lease if:

- the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- the consideration for the leases increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that is not accounted for as a separate lease, the Company remeasures the lease liability based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company accounts for the remeasurement of lease liabilities and lease incentives from lessor by making corresponding adjustments to the relevant right-of-use assets. When the modified contract contains a lease component and one or more additional lease or non-lease components, the Company allocates the consideration in the modified contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

3. MATERIAL ACCOUNTING POLICY INFORMATION - continued

Retirement benefit costs

Payments to defined contribution retirement benefit plans and the MPF Scheme are recognised as an expense when employees have rendered service entitling them to the contributions.

The Company is obliged to pay Long Service Payment ("LSP") to employees under certain circumstances. Meanwhile, the Company makes mandatory MPF contributions to the trustee who administers the assets held in a trust solely for the retirement benefits of each individual employee. Offsetting of LSP against an employee's accrued retirement benefits derived from employers' MPF contributions was allowed under the Employment Ordinance (Cap.57). In June 2022, the Government of the HKSAR gazetted the Employment and Retirement Schemes Legislation (Offsetting Arrangement) (Amendment) Ordinance 2022 (the "Amendment Ordinance") which abolishes the use of the accrued benefits derived from employers' mandatory MPF contributions to offset severance payment and LSP (the "Abolition"). The Abolition has officially taken effect on May 1, 2025 (the "Transition Date").

The Company considered the accrued benefits arising from employer MPF contributions that have been vested with the employee and which could be used to offset the employees' LSP benefits as a deemed contribution by the employee towards the LSP. Historically, the Company has been applying the practical expedient in paragraph 93(b) of HKAS 19 to account for the deemed employee contributions as a deduction of the service cost in the period in which the related service is rendered.

Based on the HKICPA's guidance, as a result of the Abolition, these contributions are no longer considered linked solely to the employee's service in that period since the mandatory employer MPF contributions after the Transition Date can still be used to offset the pre-transition LSP obligation. Therefore, it would not be appropriate to view the contributions as independent of the number of years of service and the practical expedient in paragraph 93(b) of HKAS 19 is no longer applicable. Instead, these deemed contributions should be attributed to periods of service in the same manner as the gross LSP benefit applying paragraph 93(a) of HKAS 19. Accordingly, the Company has assessed and considered that the impact in profit or loss for the service cost interest expense and remeasurement effect from changes in actuarial assumptions for the year ended December 31, 2025 are immaterial.

Cash equivalents

Cash equivalents represent short-term and highly liquid placements which are used by the Company in its cash management and which are readily convertible into a known amount of cash, subject to an insignificant risk of changes in value.

4. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Company's accounting policies, which are described in note 3, management is required to make various judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on a regular basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The key sources of estimation uncertainty and the critical judgments that can significantly affect the amounts recognised in the financial statements are disclosed below.

Classification of insurance products

The classification of insurance products into insurance contracts is determined by reference to whether the contracts transfer significant insurance risk. This determination is subject to management's judgement. Insurance contracts and investment contracts are subject to different basis of measurement of liabilities.

Level of aggregation and recognition of group of insurance contracts

For contracts issued to which the Company does not apply the PAA, the judgements exercised in determining whether contracts are onerous on initial recognition or those that have no significant possibility of becoming onerous subsequently are:

- based on the likelihood of changes in assumptions which, if they occurred, would result in the contracts becoming onerous; and
- using information about profitability estimation for the relevant group of products.

Groups of contracts are determined by identifying portfolios of insurance contracts, each comprising contracts subject to similar risk and managed together and dividing each portfolio into cohorts and each cohort into three groups based on profitability:

- any contracts that are onerous on initial recognition
- any contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently; and
- any remaining contracts in the portfolio.

The accounting policy on level of aggregation and recognition of group of insurance contracts is described in note 3.

4. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY - continued

Measurement of insurance contracts not measured under the PAA

The asset or liability for groups of insurance contracts is measured as the total of fulfilment cash flows and CSM.

The fulfilment cash flows of insurance contracts (including investment contracts with DPF) represent the present value of estimated future cash outflows, less the present value of estimated future cash inflows and adjusted for a provision for the risk adjustment for non-financial risk. The assumptions used and the techniques for estimating fulfilment cash flows and risk adjustment for non-financial risk are based on actual experience. The Company exercises significant judgement in making appropriate assumptions and techniques.

The judgements exercised in the valuation of insurance contracts (including investment contracts with DPF) affect the amounts recognised as assets or liabilities of insurance contracts and investment contracts with DPF. Further details of the related accounting policies in respect of insurance contracts are provided in note 3.

Determination of coverage unit

The CSM of a group of contracts is recognised as insurance revenue in each period based on the number of coverage units provided in the period, which is determined by considering for each contract the quantity of the services provided, its expected coverage period and time value of money.

The quantity of services provided by insurance contracts could include insurance coverage, investment-return service and investment-related service, as applicable. In assessing the services provided by insurance contracts, the terms and benefit features of the contracts are considered.

For contracts providing predominantly insurance coverage, the quantity of services is determined for the contract as a whole based on the expected maximum benefits less investment component. For contracts providing multiple services, the quantity of services is determined based on the benefits provided to policyholders for each service with the one-to-one weighting considered in the calculation through the use of factors. Relevant elements are considered in determining the quantity of service including among others, benefit payments and premiums. Bow-wave adjustment has been applied to coverage units. Bow-wave is the adjustment to capture the difference of the CSM amortisation between real world return and risk neutral return. The Company applies judgement in these determinations.

4. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY - continued

Determination of coverage unit - continued

For reinsurance contracts held, the CSM amortisation reflects the expected pattern of underwriting of the underlying contracts because the level of service received depends on the number of underlying contracts in-force.

Expected coverage period is derived based on the likelihood of an insured event occurring to the extent they affect the expected duration of contracts in the group. Determining the expected coverage period is judgmental since it involves making an expectation of when claims and lapses will occur.

Assets representing rights under investment management service contracts

The Company sells investment management service contracts under MPF contracts. A critical judgment is whether the costs incurred to secure these contracts that are directly attributable to the sale and incremental to the cost base (e.g. commissions) are likely to be recoverable from future investment management service revenues. When this threshold is passed a DOC asset is recognised and accounted for to represent the Company's rights under these investment management service contracts. A critical judgment is to assess the probability of the recoverability of these assets at initial recognition and when the threshold for recognising the asset is passed, to establish an amortisation that is aligned with the recognition of revenues from the investment management service rendered and to assess, for each portfolio of contracts, that the unamortised asset is fully recoverable from future net revenues.

Management considered that there is high probability of recovering the DOC on the portfolio of MPF contracts. Having considered the projected net revenues the Company has concluded that the closing balance of HK$806 million (2024: HK$834 million) is not subject to any impairment.

4. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY - continued

Goodwill arising from acquisitions

The Company makes estimates of future sales, policy decrement, expenses and other market factors, which form the basis of the assumptions used to calculate the goodwill arising from acquisitions as disclosed in note 19. The assumptions which have the greatest effect on the measurement of the goodwill are the future sales and risk adjusted discount rate. These assumptions were determined on a prudent basis with reference to past experience.

Impairment of goodwill and other intangible assets

For the purposes of impairment testing, goodwill and other intangible assets are grouped into cash-generating units. These assets are tested for impairment by comparing the carrying amount of the cash-generating unit, including goodwill, to the recoverable amount of that cash-generating unit. The determination of the recoverable amount requires significant judgement regarding the selection of appropriate valuation techniques and assumptions which are disclosed in note 19 of this financial statements.

Fair value of financial instruments

The directors of the Company use their judgment in selecting an appropriate valuation technique for financial instruments measured at fair value under Level 3 fair value hierarchy. The carrying value and valuation process for Level 3 assets are disclosed in note 6 of these financial statements.

5. CAPITAL MANAGEMENT

The Company has an operating guideline designed to ensure that adequate capital is maintained and to provide the flexibility necessary to take advantage of growth opportunities and to support the risks associated with the Company's business. The overall strategy and approach to managing capital of the Company have been updated to ensure that an appropriate balance is maintained between the internal assessment of capital required and the prescribed capital requirements under HKRBC. During both years, the Company has maintained a solvency position higher than the prescribed capital requirement applicable to the Company in accordance with Cap. 41R Insurance (Valuation and Capital) Rules.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT

Insurance risk

The Company is in the business of insuring against the risk of mortality, morbidity, disability, critical illness, accidents, and related risks. Appropriate reinsurance has been arranged with several reputable international reinsurers to mitigate the risk of large mortality and morbidity fluctuations affecting the population of Hong Kong to which the majority of the Company's policyholders belongs. The Company is not exposed to material claims concentration after taking into account the reinsurance arrangements. The retained net amount at risk after reinsurance on a single insured is limited. The Company has been following specific corporate guidelines and policies in underwriting and claims liability risk management to further mitigate the net insurance risk retained. Careful assessments are made in the selection, assumption and classification of risks in accordance with the Company's underwriting principles. Limits are in place for any acceptable risk underwritten. In-force business is monitored to ensure the risk exposures in specific blocks of business develop in accordance with the pricing of those risks. Acceptance of risk will also be consistent with the Company's financial capacity measured by its level of solvency capital. These procedures have not changed from last year and management continues to assess that they have kept the Company's insurance risk sufficiently diversified to ensure there is no exposure to unreasonable concentration of risk.

The Company seeks to pay all legitimate claims promptly and in accordance with both applicable regulatory requirements and internal guidelines. The requirements and processing of claims vary according to the products and nature of risk. The Company maintains documentation on claims administration, adjudication and investigation principles as well as procedural issues.

For traditional participating policies, dividends and bonuses could be adjusted according to the mortality and morbidity fluctuations if necessary.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Sensitivities

The following table sets out the estimated immediate impact on, or sensitivity of, the CSM and net income to changes in the insurance and other non-financial assumptions used in the calculation of our insurance contract liabilities, based on a starting point and business mix as at December 31, 2025 and December 31, 2024. These sensitivities are calculated independently for each risk factor, generally assuming that all other risk variables stay constant. The estimates are illustrative and use different starting points for best estimate assumptions, CSM balances and business mix will result in different estimated sensitivities.

The impact on CSM is attributable to insurance contracts measured using the general measurement model ("GMM") and VFA. For insurance contracts measured using the GMM, the impact flows through the CSM at locked-in discount rates. For insurance contracts measured using the VFA, the impact flows through the CSM at current discount rates.

As at December 31	2025 HK$'m				2024 HK$'m			
	Potential impact on CSM (pre-tax)		Potential impact on net income/equity (pre-tax)		Potential impact on CSM (pre-tax)		Potential impact on net income/equity (pre-tax)	
Sensitivities	Insurance contracts issued	Net of reinsurance contracts held	Insurance contracts issued	Net of reinsurance contracts held	Insurance contracts issued	Net of reinsurance contracts held	Insurance contracts issued	Net of reinsurance contracts held
Policyholder behaviour i.e. Lapse rate (10% increase / decrease, where adverse)	(683)	(682)	(2)	(2)	(540)	(516)	7	5
Life mortality rates (2% increase)	(14)	(13)	(8)	(7)	(19)	(14)	(1)	(2)
Morbidity rates (5% incidence increase and 5% termination decrease)	(353)	(346)	13	13	(300)	(291)	16	15
Expenses (5% increase)	(184)	(134)	-	-	(179)	(129)	6	6

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Lapse risk

Lapse risk is the risk of fluctuation of the Company's cash flows and profit due to high level of lapse/surrender by policyholder. Different surrender charges may apply to different products to compensate loss due to lapse or surrender. This may result in a gain at the time of surrender if the reserves release is greater than the surrender charges. Surrenders also result in the loss of normally expected profits from the policies in question. Persistency bonus on agency compensation and loyalty bonus features on some products serve as an incentive to reduce early surrenders.

Market risk

Market risk is the risk of changes in fair value of financial instruments and in the carrying amount of insurance contracts from fluctuation in interest rates (interest rate risk), foreign exchange rates (currency risk) and market prices (price risk).

The Company structures the levels of market risk it accepts through an ongoing evaluation that includes determining what constitutes market risk for the Company, the basis used to fair value the financial assets and liabilities and to measure insurance/ reinsurance assets and liabilities; asset allocation and portfolio limit structure; diversification benchmarks by type of instrument and geographical area; the net exposure limits by geographical segments for investments in countries or regions other than Hong Kong and the United States of America; monitoring compliance with investment limits and guidelines and reviewing for pertinence and changing environment.

The Company has set up investment guidelines and mandates for the long-term business fund. By following the investment policy, the Company limits the exposure to investments in securities by setting minimum limits of the portfolio mix in bonds and maximum limits of portfolio mix in equities and other investments. Currency and maturity are managed in accordance with the underlying liability characteristics, giving considerations to economic and competitive environments and availability of investment assets of the required maturities. The Company imposes overall limits on credit quality on fixed income portfolios. The Company also only deals with institutions and counterparties with high creditworthiness.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Market risk - continued

Interest rate risk

Interest rate risk is the risk that the fair value/future cash flows of a financial instrument and/or an insurance contract will fluctuate because of changes in interest rates. Certain insurance and investment contracts that the Company issues include interest/credit rate guarantees which expose the Company to losses if the assets backing those contracts' liabilities generate lower returns than the benefit accrued to the policyholders at the respective guaranteed interest/credit rate.

The Company has a duration matching policy for each portfolio of assets and associated liabilities to keep potential losses within acceptable limits. In addition, the Company also purchases derivatives to hedge against their exposures to changes in fair values.

Interest Rate Sensitivities

The following table sets out the estimated immediate impact on, or sensitivity of, our net income, CSM and assets to certain instantaneous changes in interest rates as at December 31, 2025 and December 31, 2024.

	Interest Rate Sensitivities			
	50 basis point decrease		50 basis point increase	
	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m
Potential impact on net income (pre-tax) [1]	10	50	(10)	(50)
CSM impact [1]	280	380	(260)	(380)
Asset impact	2,440	1,800	(2,270)	(1,670)

(1) The impact has been rounded to increments of HK$10m.

The sensitivity analysis above is based on a simplified scenario on 50 basis point change in interest rates. Significant changes in market variables may result in other than proportionate impacts on our sensitivities.

The Company's exposures to interest rates on financial liabilities are detailed in the liquidity risk management section of this note.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Market risk - continued

Currency risk

The Company undertakes certain transactions denominated in foreign currencies, and therefore the Company is exposed to exchange rate fluctuations. It is the Company's policy to match its assets and liabilities by currency to minimise their exposure to currency risk to the maximum extent practicable. The Company sells insurance policies denominated in HK$, Chinese yuan ("RMB"), Euro ("EUR") and United States dollars ("US$") and the currency mismatch exposure for the Company arises from the use of US$ assets to back US$ liabilities. Where appropriate, HK$/RMB, HK$/US$ and HK$/EUR currency derivatives are used to minimise currency mismatch between assets and liabilities.

The carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities, including insurance-related assets and liabilities, at the reporting date are as follows:

	Liabilities		Assets	
	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m
US$	114,047	79,288	131,159	97,856
Other currencies (mainly RMB and EUR)	1,433	647	2,821	1,318

The Company's exposure to currency risk is mainly in HK$ against US$. To limit the currency risk, the Company has entered into derivative contracts, namely forward foreign exchange contracts and foreign exchange swap contracts, to convert US$ into HK$ with a notional amount of HK$25,933 million (2024: HK$23,142 million). The Company's net exposures in US$, at the reporting date, after taking into account the derivative contracts, amounted to HK$nil (2024: HK$nil).

Accordingly, no sensitivity analysis is prepared as the management considered that the effect is insignificant after the above hedging arrangement.

Price risk

The Company's price risk exposure relates to financial assets and liabilities whose values will fluctuate as a result of changes in market prices and principally comprise investments in securities not held for the account of unit-linked business.

Such investments in securities are subject to price risk due to changes in market values of instruments arising either from factors specific to individual instruments or their issuers or factors affecting all instruments traded in the market.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Market risk - continued

Price risk - continued

The Company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans and limits on investments in each country, sector and market.

Equity Market Sensitivities

The following table sets out the estimated immediate impact on, or sensitivity of, our net income and CSM to certain instantaneous changes in equity market prices as at December 31, 2025 and December 31, 2024.

	Equity Market Sensitivities			
	10% decrease		10% increase	
	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m
Potential impact on net income (pre-tax) (1)	-	30	10	(30)
CSM impact (1)	(680)	(300)	640	250

(1) The impact has been rounded to increments of HK$10m.

The sensitivity analysis above is based on a simplified scenario on 10% increase and decrease in equity price.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Credit risk

Credit risk to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. It is the Company's investment policy to invest in diversified portfolios that target a portfolio average of investment grade. In addition, only reputable international reinsurers are chosen as the Company's reinsurers to reduce their default risk.

The Company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The credit risk on liquid funds, debt instruments and derivative financial instruments is limited because the counterparties are banks or financial institutions with high credit ratings assigned by international credit-rating agencies.

Analysis for underlying credit rating of debt securities:

	2025	2024
AAA	5 %	6 %
AA	20 %	19 %
A	38 %	38 %
BBB	36 %	36 %
BB and lower	1 %	1 %
Total	100 %	100 %

The creditworthiness of reinsurers is considered by reviewing their financial strength prior to finalisation of any contract and transaction. The Company maintains records of the payment history for these counterparties with whom they conduct regular business.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Credit risk - continued

The credit risk of the limited partnership investment is insignificant due to managers' credit risk management capabilities, strict guidelines on credit quality and portfolio diversification, and on-going frequent review and timely follow-up.

The management estimates the estimated loss rates of loans receivable and other receivables based on historical credit loss experience. Based on assessment by the management, the management considers the ECL for loans receivable, prepayments and other receivables are insignificant and therefore no loss allowance was recognised.

Credit risk on bank and cash balance is limited because the counterparties are reputable banks with high credit ratings assigned by international credit agencies. The Company assessed 12-month ECL for bank and cash balances by reference to information relating to probability of default and loss given default of the respective credit rating grades published by external credit rating agencies. Based on the average loss rates, the ECL is considered to be insignificant and therefore no loss allowance was recognised/to specify the amount of impairment made.

The credit risk arising from the reinsurance contracts is considered to be immaterial.

Credit spread sensitivities

Credit spread sensitivities reflect the impact of changes in credit spreads on our asset and liability values (including provincial government bonds, corporate bonds, and other fixed income assets).

The following tables set out the sensitivity of our net income to certain instantaneous changes in credit spreads and our net income and CSM as at December 31, 2025 and December 31, 2024.

	Credit Spreads Sensitivities			
	50 basis point decrease		50 basis point increase	
	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m
Potential impact on net income (pre-tax) (1)	190	200	(160)	(160)
CSM impact (1)	(320)	-	180	(80)

(1) The impact has been rounded to increments of HK$10m.

The sensitivity analysis above is based on a simplified scenario on 50 basis point change in credit spreads. Significant changes in market variables may result in other than proportionate impacts on our sensitivities.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Credit risk - continued

Reinsurance contract held assets by credit rating

The table below presents the distribution of reinsurance contract held assets by credit rating:

	2025 HK$'m	2024 HK$'m
AA or A	1,813	2,383
Below A	-	-
Not rated	-	-
Total reinsurance contract held assets	1,813	2,383

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet cash commitments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values; counterparties failing to settle a contractual obligation; insurance liabilities falling due for payment earlier than expected; or inability to generate cash inflows as anticipated.

The major liquidity risk confronting the Company is the daily calls on their available cash resources in respect of claims arising from insurance and investment contracts.

The Company manages liquidity through a liquidity risk policy which includes determining what constitutes liquidity risk for the Company; setting the minimum proportion of funds to meet emergency calls; setting up contingency funding plans; specifying the sources of funding and the events that would trigger the plan; specifying the concentration of funding sources; reporting liquidity risk exposures and breaches to the monitoring authority; monitoring compliance with liquidity risk policy and reviewing the Company's liquidity risk policy for pertinence and changing environment. The permissible investment portfolio primarily consists of securities with active secondary or resale markets.

The following table details the Company's estimated expected timing of net cash outflows or the earliest contractual repayment date resulting from recognised insurance contracts and reinsurance contracts held in a liability position based on the reported carrying amounts.

	Expected net cash (in)outflows - Undiscounted						
	1 year or less	1-2 years	2-3 years	3-4 years	4-5 years	Over 5 years	Total
	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m
2025							
Insurance contract liabilities [1]	2,789	(6,668)	(4,450)	(637)	2,592	2,259,838	2,253,464
Reinsurance contract liabilities	(135)	(382)	(409)	(498)	(554)	(110,577)	(112,555)
2024							
Insurance contract liabilities [1]	8,171	(5,886)	(5,284)	(3,127)	(1,326)	1,249,023	1,241,571
Reinsurance contract liabilities	(156)	(323)	(377)	(406)	(494)	(113,097)	(114,853)

[1] These amounts represent the undiscounted estimated cash flows of insurance contract liabilities and investment contract liabilities with DPF. These cash flows include estimates related to the timing and payment of death and disability claims, policy surrenders, policy maturities, policyholder dividends and bonuses, commissions and premium taxes offset by contractual future premiums and fees on in-force contracts. These estimated cash flows are based on the best-estimate assumptions used in the determination of insurance contract liabilities and investment contract liabilities with DPF. Due to the use of assumptions, actual cash flows will differ from these estimates.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Liquidity risk - continued

	Weighted average effective interest rate	Gross undiscounted cash flows					Carrying amount total
		Less than 3 months	3 months to 1 year	1-5 years	+ 5 years	Adjustment	
	%	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m
2025							
Non-derivative financial liabilities							
Investment contracts liabilities without DPF (1)	-	586	-	-	-	-	586
Other liabilities	-	3,931	-	-	-	-	3,931
Lease liabilities	4.1	33	89	305	38	(49)	416
Amount due to immediate holding company	-	177	-	-	-	-	177
Amounts due to fellow subsidiaries	-	217	-	-	-	-	217
Financial liabilities from securities lending	-	965	-	-	-	-	965
2024							
Non-derivative financial liabilities							
Investment contracts liabilities without DPF (1)	-	515	-	-		-	515
Other liabilities	-	4,960	-	-	-	-	4,960
Lease liabilities	4.2	31	58	50	-	(10)	129
Amount due to immediate holding company	-	134	-	-	-	-	134
Amounts due to fellow subsidiaries	-	58	-	-	-	-	58
Amounts due to subsidiaries	-	4	-	-	-	-	4
Financial liabilities from securities lending	-	1,051	-	-	-	-	1,051

(1) For investment contract liabilities without DPF in the first time category (less than 3 months). The amount represents the fair value of the fund balance less surrender charge.

The following table details the Company's contractual maturity for its non-derivative financial assets, other than segregated funds (note) as well as loans receivable and bank balances which are set out in notes 23 and 25, respectively. It has been drawn up based on the undiscounted contractual maturities of the financial assets. The adjustment column represents the possible future cash flows included in the maturity analysis, such as future interest, that have not been included in the carrying amount of the financial assets. The cash flows are projected by actuarial software based on assets' characteristics (i.e. coupon rate, par value and maturity).

(note) Segregated funds represent funds held by the Company excluding life, annuity and shareholder's fund. There is no mis-match between asset and liability maturities that the Company is exposed to at entity level due to segregated funds, as segregated funds assets and liabilities are contractually linked. Accordingly, no liquidity risk disclosure on the segregated funds is considered necessary.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Liquidity risk - continued

	Weighted average effective interest rate	Gross/net undiscounted cash flows					Carrying amount total
		Less than 3 months	3 months to 1 year	1-5 years	+ 5 years	Adjustment	
	%	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m
2025							
Variable interest rate instruments	5.7	477	1,352	6,871	13,313	(6,875)	15,138
Fixed interest rate instruments	7.1	2,436	6,735	33,940	97,503	(59,661)	80,953
Mortgage loan investments	4.9	20	22	71	20	(14)	119
2024							
Variable interest rate instruments	6.5	334	388	3,864	15,133	(8,960)	10,759
Fixed interest rate instruments	6.9	1,090	4,888	24,078	83,837	(50,456)	63,437
Mortgage loan investments	5.9	6	28	88	48	(33)	137

The following table details the Company's contractual maturity for its derivative financial instruments. It has been drawn up based on the undiscounted net cash inflows (outflows) of the derivative instruments that settle on a net basis and the undiscounted gross inflows (outflows) of those derivatives that require gross settlement. When the amount payable or receivable in the interest rate swap contracts is not fixed, the amount disclosed has been determined with reference to the projected interest rates as illustrated by the forward yield curves quoted by Bloomberg at the reporting date.

	Weighted average effective interest rate	Gross/net undiscounted cash flows					Carrying amount total
		Less than 3 months	3 months to 1 year	1-5 years	+ 5 years	Adjustment	
	%	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m
2025							
Forward foreign exchange contracts	-	(34)	-	-	-	(11)	(45)
Foreign exchange swap contracts	1.9	6	17	331	114	-	468
Interest rate swap contracts	3.6	-	(49)	(148)	(142)	348	9
Credit default swap contracts	1.0	-	1	1	-	-	2
Swaption contracts	-	-	20	85	-	-	105
Listed option	-	416	-	-	-	-	416
Equity futures	-	10	-	-	-	-	10
Treasury futures	-	(2)	-	-	-	-	(2)
2024							
Forward foreign exchange contracts	-	154	-	-	-	67	221
Foreign exchange swap contracts	1.8	(29)	(18)	5	6	410	374
Credit default swap contracts	1.0	1	1	2	-	(2)	2
Swaption contracts	-	-	-	141	-	-	141
Bond forward	-	-	(1)	-	-	-	(1)
Listed option	-	-	(88)	20	-	-	(68)
Treasury futures	-	(3)	-	-	-	-	(3)

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Fair values

The fair values of financial assets and financial liabilities are determined as follows:

Level 1: Fair value is based on the unadjusted quoted prices for identical assets or liabilities in an active market. The types of assets classified as Level 1 generally include listed equities, listed unit trusts and certain listed debt securities. Fair value of unlisted unit trusts is determined with reference to the prices quoted by respective fund administrators.

Level 2: Fair value is based on quoted prices for similar assets or liabilities in active markets, valuation that is based on significant observable inputs, or inputs that are derived principally from or corroborated with observable market data. The types of assets and liabilities classified as Level 2 generally include certain listed and unlisted debt securities, unlisted unit trust investments, derivative instruments and mortgage loan investments.

Level 3: Fair value is based on valuation techniques that require one or more significant unobservable inputs, such as expected future economic benefits of an investment, or based on broker quotes that cannot be corroborated with observable market transactions. The types of assets classified as Level 3 generally include certain listed and unlisted debt securities and limited partnership investments.

Fair value of the Company's financial assets and financial liabilities that are measured at fair value on recurring basis

Fair value hierarchy as at December 31, 2025

	Level 1 HK$'m	Level 2 HK$'m	Level 3 HK$'m	Total HK$'m
As at December 31, 2025				
Financial assets				
Designated at FVTPL				
Listed debt securities	1,962	71,121	-	73,083
Unlisted debt securities	-	20,449	129	20,578
Listed unit trust investments	27,963	87	-	28,050
Unlisted unit trust investments	-	11,210	-	11,210
Mortgage loan investments	-	119	-	119
Derivative financial assets	832	602	-	1,434
Limited partnership	-	-	1,860	1,860
	30,757	103,588	1,989	136,334
Measured at FVTOCI				
Listed debt securities	201	2,229	-	2,430
Total	30,958	105,817	1,989	138,764
Financial liabilities				
Derivative financial liabilities	(410)	(61)	-	(471)
Financial liabilities from investment contracts	-	(586)	-	(586)
Total	(410)	(647)	-	(1,057)

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Fair value of the Company's financial assets and financial liabilities that are measured at fair value on recurring basis - continued

Fair value hierarchy as at December 31, 2024

	Level 1	Level 2	Level 3	Total
	HK$'m	HK$'m	HK$'m	HK$'m
As at December 31, 2024				
Financial assets				
Designated at FVTPL				
Listed debt securities	2,167	43,677	-	45,844
Unlisted debt securities	-	24,213	274	24,487
Listed unit trust investments	16,053	74	-	16,127
Unlisted unit trust investments	-	11,167	-	11,167
Mortgage loan investments	-	137	-	137
Derivative financial assets	37	746	-	783
Limited partnership	-	-	1,416	1,416
	18,257	80,014	1,690	99,961
Measured at FVTOCI				
Listed debt securities	502	2,496	-	2,998
Unlisted debt securities	-	848	19	867
	502	3,344	19	3,865
Total	18,759	83,358	1,709	103,826
Financial liabilities				
Derivative financial liabilities	(109)	(8)	-	(117)
Financial liabilities from investment contracts	-	(515)	-	(515)
Total	(109)	(523)	-	(632)

There was no transfer between Level 1 and Level 2 fair value measurements in 2025 and 2024.

Fair value is determined based on quoted market prices for identical or similar instruments. When quoted market prices are not available, fair value is determined from observable market data by dealers that are typically the market makers. The fair value is categorised in Level 1 or 2 of the fair value hierarchy.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Fair value of the Company's financial assets and financial liabilities that are measured at fair value on recurring basis - continued

Financial assets measured at fair value based on Level 3:

	HK$'m
Balance at January 1, 2024	1,312
Total gains recognised in profit or loss	29
Purchases	486
Disposals	(198)
Transfers out of level 3 (Note)	(195)
Transfers in of level 3 (Note)	275
Balance at December 31, 2024	1,709
Total losses recognised in profit or loss	(136)
Purchases	728
Disposals	(67)
Transfers out of level 3 (Note)	(288)
Transfers in of level 3(Note)	43
Balance at December 31, 2025	1,989

	2025 HK$'m	2024 HK$'m
Total (losses) gains the year included in profit or loss for Level 3 assets at the end of the reporting year	(136)	29

Note: Transfers into Level 3 occur when the inputs used to price the assets and liabilities lack observable market data, and as a result, no longer meet the Level 1 or 2 definitions at the reporting date. Transfers out of Level 3 occur when the pricing inputs become more transparent and satisfy the Level 1 or 2 criteria and are primarily the result of observable market data being available at the reporting date, thus removing the requirement to rely on inputs that lack observability.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Unobservable inputs and sensitivity for Level 3 assets

The financial assets categorised in Level 3 consists primarily of debt securities and limited partnership investments.

The debt securities categorised in Level 3, which are included in financial assets designated at FVTPL and measured at FVTOCI, consist primarily of corporate bonds. The fair value of these corporate bonds is generally determined using broker quotes that cannot be corroborated with observable market transactions. Significant unobservable inputs for these corporate bonds would include issuer spreads, which are comprised of credit, liquidity, and other security-specific features of the bonds. A decrease (increase) in these issuer spreads would result in a higher (lower) fair value. Due to the unobservable nature of these broker quotes, the Company does not assess whether applying reasonably possible alternative assumptions would have an impact on the fair value of the Level 3 corporate bonds.

The fair value of the limited partnership investments is based on NAV provided by management of the limited partnership investments. Based on the unobservable nature of these NAVs, the Company does not assess whether applying reasonably possible alternative assumptions would have an impact on the fair value of the Level 3 limited partnership investments.

Valuation process for Level 3 assets

The fair value of debt securities is generally obtained by external pricing services. When fair value cannot be obtained from external pricing services, broker quotes, or internal models subject to detailed review and validation processes are used. The fair value of debt securities is subject to price validation and review procedures to ensure overall reasonability.

The fair value of the limited partnership investment is based on NAV provided by management of the limited partnership investments. The financial statements used in calculating the NAV are generally audited annually. Analytical review and other procedures are performed to ensure the fair value is reasonable.

The fair value of the unlisted investment is measured based on significant unobservable inputs, which are used as consideration of the discounts for lack of marketability.

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements

The financial instruments are not offset in the Company's statement of financial position. The following tables present the effect of conditional netting and similar arrangements. Similar arrangements include global master repurchase agreement and any related rights to financial collateral.

		Related amounts not offset in the statement of financial position		
	Amounts of financial instruments presented in the statement of financial position HK$'m	Financial instruments subject to enforceable master netting arrangements HK$'m	Financial collateral received (pledged) HK$'m	Net amount HK$'m
As at December 31, 2025				
Financial assets				
Derivative assets (note 22)	1,434	(61)	(505)	868
Total financial assets	1,434	(61)	(505)	868
Financial liabilities				
Derivative liabilities (note 22)	(471)	61	-	(410)
Financial liabilities from securities lending (note 30)	(965)	-	965	-
Total financial liabilities	(1,436)	61	965	(410)

6. INSURANCE AND FINANCIAL RISK MANAGEMENT - continued

Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements - continued

	Amounts of financial instruments presented in the statement of financial position HK$'m	Related amounts not offset in the statement of financial position: Financial instruments subject to enforceable master netting arrangements HK$'m	Related amounts not offset in the statement of financial position: Financial collateral received (pledged) HK$'m	Net amount HK$'m
As at December 31, 2024				
Financial assets				
Derivative assets (note 22)	783	(8)	(668)	107
Total financial assets	783	(8)	(668)	107
Financial liabilities				
Derivative liabilities (note 22)	(117)	8	109	-
Financial liabilities from securities lending (note 30)	(1,051)	-	1,051	-
Total financial liabilities	(1,168)	8	1,160	-

Note: Certain investments measured at FVTPL of the Company were loaned to third parties under the securities lending arrangements. At December 31, 2025, the carrying amount of these investments was HK$918 million (2024: HK$992 million).

7. INSURANCE REVENUE AND FEE INCOME

	2025	2024 (unaudited)
Insurance revenue	HK$'m	HK$'m
Amounts relating to changes in liabilities for remaining coverage:		
Expected incurred claims and other insurance service expenses	1,130	1,010
Change in risk adjustment for non-financial risk for risk expired	394	395
CSM recognised for services provided	1,877	1,381
Recovery of insurance acquisition cash flows	1,284	530
Income taxes specifically chargeable to the policyholder	276	141
Contracts not measured under the PAA	4,961	3,457
Contracts measured under the PAA	258	193
	5,219	3,650
Fee income		
Assets management fee	93	94
Investment contract fee and others	64	54
	157	148

8. INSURANCE SERVICE EXPENSES

	2025	2024
	HK$'m	HK$'m
Incurred claims and other incurred insurance service expenses	(1,248)	(1,037)
Changes that relate to past service - adjustment to the LIC	(25)	(19)
Changes that relate to future service - losses on onerous groups of contracts and reversal of such losses	(98)	(139)
Insurance acquisition cash flows - amortisation	(1,284)	(530)
Contracts not measured under the PAA	(2,655)	(1,725)
Contracts measured under the PAA	(300)	(230)
	(2,955)	(1,955)

9. REINSURANCE CONTRACT HELD NET EXPENSES

An analysis of allocation of reinsurance premiums paid and amounts recovered from reinsurers, are presented in the tables below:

	2025 HK$'m	2024 HK$'m
Allocation of reinsurance premiums paid		
Amounts relating to changes in the remaining coverage		
Expected incurred claims and other insurance service expenses	(88)	(128)
Change in risk adjustment for non-financial risk for risk expired	(49)	(94)
CSM recognised for services provided	(270)	(291)
Contracts not measured under the PAA	(407)	(513)
Contracts measured under the PAA	(190)	(18)
Amounts recovered from reinsurers		
Amounts recoverable for incurred claims and other incurred insurance service expenses	116	147
Recoveries of loss on recognition of underlying onerous contracts	1	(4)
Contracts not measured under the PAA	117	143
Contracts measured under the PAA	190	-
Net expenses from reinsurance contracts held	(290)	(388)

10. NET INVESTMENT RESULT

Net investment income (loss)

For the year ended December 31, 2025	Financial Instruments at FVTOCI HK$'m	Financial Instruments at FVTPL HK$'m	Total HK$'m
Interest income on:			
Cash, cash equivalents and short-term investments	-	198	198
Debt securities	114	3,925	4,039
Mortgages and loans	-	6	6
Derivative investments	-	(43)	(43)
Other financial invested assets	-	45	45
Other (expense) income	-	3	3
Total interest income	114	4,134	4,248
Dividend and other investment income:			
Equity securities	-	201	201
Total investment expense	-	(115)	(115)
Total dividend and other investment income	114	4,220	4,334
Net realised and unrealised gains (losses):			
Debt securities	(71)	2,278	2,207
Equity securities	-	6,148	6,148
Mortgages and loans	-	5	5
Derivative investments	-	(370)	(370)
Other financial invested assets	-	101	101
Total net realised and unrealised (losses) gains	(71)	8,162	8,091
Change in financial liabilities from investment contracts	-	(39)	(39)
Reversal of provision for expected credit losses	1	-	1
Written off	-	(286)	(286)
	44	12,057	12,101
Dividend income from subsidiaries			550
Net investment income			12,651

10. NET INVESTMENT RESULT - continued

Net investment income (loss) - continued

For the year ended December 31, 2024 (Unaudited)	Financial Instruments at FVTOCI HK$'m	Financial Instruments at FVTPL HK$'m	Total HK$'m
Interest income on:			
Cash, cash equivalents and short-term investments	-	214	214
Debt securities	171	3,155	3,326
Mortgages and loans	-	9	9
Derivative investments	-	(5)	(5)
Other financial invested assets	-	25	25
Other income	-	2	2
Total interest income	171	3,400	3,571
Dividend and other investment income:			
Equity securities	-	260	260
Total investment expense	-	(78)	(78)
Total dividend and other investment income	171	3,582	3,753
Net realised and unrealised gains (losses):			
Debt securities	7	(1,884)	(1,877)
Equity securities	-	2,042	2,042
Mortgages and loans	-	(274)	(274)
Derivative investments	-	40	40
Other financial invested assets	-	18	18
Total net realised and unrealised gains (losses)	7	(58)	(51)
Change in financial liabilities from investment contracts	-	9	9
Reversal of provision for expected credit losses	3	-	3
Written off	-	(63)	(63)
	181	3,470	3,651
Dividend income from subsidiaries			235
Net investment income			3,886

10. NET INVESTMENT RESULT - continued

Insurance finance expenses from insurance contracts issued

	2025 HK$'m	2024 HK$'m
Effect of time value of money (interest on carrying value) including interest on policy loans and interest on amounts on deposits	(411)	(550)
Impact of change in discount rate on fulfilment cash flows excluding where measured at locked-in rates and effect of changes in financial risk	(312)	(338)
Changes in fair value of underlying items for contracts with direct participation features	(11,090)	(3,976)
Foreign exchange (losses) gains	(116)	374
Total insurance finance expenses from insurance contracts issued	(11,929)	(4,490)

Insurance finance (expenses) income from reinsurance contracts held

	2025 HK$'m	2024 HK$'m
Effect of time value of money interest accreted	102	71
Impact of change in discount rate on fulfilment cash flows excluding where measured at locked-in rates and effect of changes in financial risk	(119)	1,043
Changes in other financial variables	(187)	(245)
Foreign exchange gains (losses)	3	(4)
Total insurance finance (expenses) income from reinsurance contracts held	(201)	865

11. FINANCE COSTS

	2025 HK$'m	2024 (unaudited) HK$'m
Interest on lease liabilities	10	8
Interest on subordinated loans	-	17
Interest on upfront fee payables for bancassurance partnership	7	67
	17	92

12. INCOME TAX EXPENSE

	2025	2024 (unaudited)
	HK$'m	HK$'m
Current tax:		
Hong Kong	(147)	(50)
Overprovision in prior year	3	40
Deferred tax (note 29):		
(Charge) credit for the year	(1)	5
	(145)	(5)

Under the Hong Kong Inland Revenue Ordinance, assessable profit from the business of individual life insurance in Hong Kong is deemed to be 5% of the net premium income for the year. Hong Kong Profits Tax on other businesses is calculated at 16.5% during 2025 and 2024 of the estimated assessable profit for the year.

The Company is operating in Hong Kong, where the Pillar Two Rules are effective. However, as the Company's estimated effective tax rates in the jurisdiction is higher than 15%, after taking into account certain adjustments under the Pillar Two Rules based on management's best estimate, the management of the Company considered the Company is not liable to top-up tax under the Pillar Two Rules and has not made relevant disclosures of qualitative and quantitative information about the Company's exposure to the Pillar Two income taxes.

The tax expense for the year can be reconciled to the profit before taxation per statement of profit or loss as follows:

	2025	2024 (unaudited)
	HK$'m	HK$'m
Profit before taxation	1,577	779
Less: Profit before taxation from life insurance business	(1,789)	(775)
	(212)	4
Tax on loss (profit) at the income tax rate of 16.5%	35	(1)
Tax on life insurance business [1]	(284)	(154)
Tax effect of income not taxable	106	105
Tax effect of expenses non deductible for determining taxable profit	(4)	-
Overprovision in respect of prior year	3	40
Others	(1)	5
Income tax expense for the year	(145)	(5)

[1] Life insurance tax refers to the differences which arise where the tax regime specific to the life insurance business does not adopt net income as the basis for calculating taxable profit, for example Hong Kong, where life business taxable profit is derived from life premiums.

13. PROFIT FOR THE YEAR

	2025	2024 (unaudited)
	HK$'m	HK$'m
Profit for the year has been arrived at after charging:		
Directors' remuneration		
Fees	1	1
Other emoluments	27	25
Net contributions to retirement benefit plans and Mandatory Provident Fund Scheme	1	1
Staff costs [1]		
Salaries and other benefits	1,039	835
Net contributions to retirement benefit plans and Mandatory Provident Fund Scheme	57	51
Other operating expenses		
Amortisation of intangible assets (note 19)	336	252
Auditor's remuneration	7	7
Depreciation of plant and equipment (note 16)	38	15
Depreciation of right-of-use assets (note 18)	120	130
Other expenses	637	479
	1,138	883

[1] Staff costs include both attributable expenses and operating expenses.

14. INVESTMENTS IN SUBSIDIARIES

	2025	2024
	HK$'m	HK$'m
Unlisted shares, at cost	917	329
Less: accumulated impairment loss	(11)	(11)
	906	318
Unlisted investment fund, at fair value	21	-
	927	318

14. INVESTMENTS IN SUBSIDIARIES - continued

Particulars of the Company's subsidiaries as at December 31, 2025 and December 31, 2024 as follows:

Name of subsidiaries	Place of incorporation	Class of share held	Issued share capital		Proportion ownership held directly by the Company		Proportion of voting power held by the Company		Principal activities
			2025	2024	2025	2024	2025	2024	
Sun Life Trustee Company Limited	Hong Kong	Ordinary	HK$30,000,000	HK$30,000,000	20% (1)	20% (1)	100%	100%	Trustee of provident funds
Sun Life Hong Kong Services Limited	Hong Kong	Ordinary	HK$13,000,001	HK$13,000,001	100%	100%	100%	100%	Investments holding
Sun Life Asset Management (HK) Limited	Hong Kong	Ordinary	HK$48,200,001	HK$48,200,001	100%	100%	100%	100%	Asset management
Sun Life Pension Trust Limited	Hong Kong	Ordinary	HK$177,800,000	HK$177,800,000	20% (1)	20% (1)	100%	100%	Trustee of provident funds
Sun Life Financial Holdings (HK) Limited	Hong Kong	Ordinary	HK$1	HK$1	100%	100%	100%	100%	Investments holding
Sun Life Management Holdings (HK) Limited	Hong Kong	Ordinary	HK$1	HK$1	100%	100%	100%	100%	Investments holding
Sun Life Investment Holdings (HK) Limited	Hong Kong	Ordinary	HK$1	HK$1	100%	100%	100%	100%	Investments holding
Bowtie Life Insurance Company Limited ("Bowtie") (2)	Hong Kong	Ordinary	HK$997,814,376	HK$683,826,376	55.82%	49.99%	55.82%	49.99%	Underwriting of life and health business
Helios Real Estate Fund L.P. ("Helios") (3)	Cayman Islands	Ordinary	HK$24,300,000	Nil	100%	Nil	100%	Nil	Property investment and property holding

(1) The remaining 80% ownership of Sun Life Pension Trust Limited and Sun Life Trustee Company Limited were held by the subsidiaries of the Company in trust on behalf of the Company, in accordance with the requirements of the Trustee Ordinance.

(2) Prior to July 15, 2025, the Company owned 49.99% of shares in Bowtie through multiple rounds of investments from 2018 to 2023. On July 15, 2025, the Company entered into an agreement with Bowtie to provide a capital injection of US$40 million in July 2025. Upon the date of completion of the initial capital subscription, the Company's aggregate direct equity interest in Bowtie was increased from approximately 49.99% to approximately 55.82%. Accordingly, the Company acquired control over Bowtie and reclassified the interest in Bowtie from an associate to a subsidiary at cost of HK$588 million.

(3) The Company entered into a limited partnership agreement with Helios on November 12, 2024. During the year ended December 31, 2025, the Company contributed approximately HK$24 million (2024: Nil) capital to Helios.

15. INVESTMENT IN AN ASSOCIATE

	2025 HK$'m	2024 HK$'m
Cost of investment in an associate	241	241
Accumulated capital injection	327	327
Accumulated post-acquisition loss	(254)	(185)
Share of post-acquisition loss during the year	(42)	(69)
Transfer to interest in a subsidiary[1] (note 14)	(272)	-
	-	314

[1] On July 15, 2025, the Company further acquired 5.83% ownership interest of Bowtie and the Company's aggregate direct equity interest in Bowtie was increased from approximately 49.99% to approximately 55.82%. Accordingly, the Company acquired control over Bowtie and reclassified the interest in Bowtie from an associate to a subsidiary at cost of HK$588 million. Further details are disclosed in note 14.

16. PLANT AND EQUIPMENT

	Leasehold improvements HK$'m	Furniture and fixtures HK$'m	Office equipment HK$'m	Computer equipment HK$'m	Total HK$'m
COST					
At January 1, 2024 and December 31, 2024	317	41	20	116	494
Additions	12	6	2	23	43
At December 31, 2025	329	47	22	139	537
DEPRECIATION AND IMPAIRMENT					
At January 1, 2024	246	28	16	104	394
Provided for the year	9	3	1	2	15
At December 31, 2024	255	31	17	106	409
Provided for the year	20	4	1	13	38
At December 31, 2025	275	35	18	119	447
CARRYING VALUES					
At December 31, 2025	54	12	4	20	90
At December 31, 2024	62	10	3	10	85

The above items of plant and equipment are depreciated on a straight-line basis at the following rates per annum:

Leasehold improvements	20% or over the remaining life of the lease whichever is shorter
Furniture and fixtures	10% - 33.33%
Office and computer equipment	20% - 33.33%

17. OTHER DEBTORS, DEPOSITS AND PREPAYMENTS

	2025 HK$'m	2024 HK$'m
Prepayments	706	371
Other receivables	346	229
Investment income due and accrued	6	4
	1,058	604

18. RIGHT-OF-USE ASSETS

	Leasehold properties HK$'m	Computer equipment HK$'m	Others HK$'m	Total HK$'m
At January 1, 2024	170	20	10	200
Additions [1]	28	-	26	54
Depreciation charge for the year	(99)	(20)	(11)	(130)
At December 31, 2024	99	-	25	124
Additions [1]	356	-	43	399
Depreciation charge for the year	(102)	-	(18)	(120)
At December 31, 2025	353	-	50	403

	2025 HK$'m	2024 HK$'m
Total cash outflow for leases	124	143

[1] Amounts includes right-of-use assets resulting from new lease entered during the year.

19. INTANGIBLE ASSETS

	DOC[1] (MPF contracts) HK$'m	Goodwill HK$'m	Other Intangibles HK$'m	Total HK$'m
COST				
At January 1, 2024	1,506	373	2,717	4,596
Expenses capitalised	107	-	-	107
Additions	-	-	60	60
At December 31, 2024	1,613	373	2,777	4,763
Expenses capitalised	122	-	-	122
Additions	-	-	97	97
Other changes	10	-	(383)	(373)
At December 31, 2025	1,745	373	2,491	4,609
AMORTISATION				
At January 1, 2024	624	-	439	1,063
Charge for the year	155	-	97	252
At December 31, 2024	779	-	536	1,315
Charge for the year	160	-	176	336
Other changes	–	-	(163)	(163)
At December 31, 2025	939	-	549	1,488
CARRYING VALUES				
At December 31, 2025	806	373	1,942	3,121
At December 31, 2024	834	373	2,241	3,448

(1) Deferred origination costs ("DOC") represent the assets recognised in respect to the incremental costs of obtaining the customers' contracts with expectation that these costs are recoverable.

19. INTANGIBLE ASSETS - continued

DOC has definite useful lives. Such assets are amortised in line with the recognition of the associated revenue from the provision of investment management services.

The entire operations of the Company are considered as a single cash-generating unit ("CGU"). Goodwill arising from the acquisition of life insurance operations and the acquisition of the MPF business is tested for impairment by determining the recoverable amount of the CGU based on a value in use calculation. These calculations use the estimated cash flows projected from new business based on expected profitability established during pricing. Future cash flows covering the expected life of the underlying policies are discounted to the present value using a risk-adjusted discount rate of 10.50% (2024: 9.75%). The recoverable amount is most sensitive to changes in the discount rate. Management believes that any reasonable changes to the discount rates would not cause the aggregate carrying amount of the goodwill to exceed the recoverable amount. During the years ended December 31, 2025 and 2024, the Company assessed the recoverable amount of the intangible assets and determined that those were not impaired.

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS

(a) Movement in carrying amounts

The following reconciliations show how the net carrying amounts of insurance contracts and reinsurance contracts held changed during the year as a result of cash flows and amounts recognised in the statement of profit and loss and other comprehensive income. The Company presents a table that separately analyses movements in the liabilities for remaining coverage and movements in the liabilities for incurred claims and reconciles these movements to the line items in the statement of profit and loss and other comprehensive income. A second reconciliation is presented for contracts not measured under the premium allocation approach, which separately analyses changes in the estimates of the present value of future cash flows, the risk adjustment for non-financial risk and the contractual service margin.

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by remaining coverage and incurred claims of insurance contracts not measured under the premium allocation approach

		2025				2024			
		Liabilities for remaining coverage				Liabilities for remaining coverage			
HK$'m	Notes	Excluding loss component	Loss component	Liabilities for incurred claims	Total	Excluding loss component	Loss component	Liabilities for incurred claims	Total
Opening assets		(1,111)	(94)	761	(444)	(768)	(162)	451	(479)
Opening liabilities		99,935	390	1,084	101,409	88,771	315	(452)	88,634
Net opening balance		**98,824**	**296**	**1,845**	**100,965**	**88,003**	**153**	**(1)**	**88,155**
Insurance revenue	*7*	(4,961)	-	-	(4,961)	(3,457)	-	-	(3,457)
Insurance service expenses									
Incurred claims and other insurance service expenses paid for insurance contracts issued, excluding insurance acquisition cash flows		-	(4)	1,252	1,248	-	3	1,034	1,037
Amortisation of insurance acquisition cash flows		1,284	-	-	1,284	530	-	-	530
Losses and reversal of losses on onerous contracts		-	98	-	98	-	139	-	139
Adjustments to liabilities for incurred claims		-	-	25	25	-	-	19	19
Total insurance service expenses	*8*	**1,284**	**94**	**1,277**	**2,655**	**530**	**142**	**1,053**	**1,725**
Other changes		-	-	-	-	11	-	-	11
Insurance service result		**(3,677)**	**94**	**1,277**	**(2,306)**	**(2,916)**	**142**	**1,053**	**(1,721)**
Insurance finance expenses (income)	*10*	11,914	2	13	11,929	4,492	1	(3)	4,490
Effect of movements in exchange rates		-	-	-	-	7	-	-	7
Total changes in the statement of profit or loss and other comprehensive income		**8,237**	**96**	**1,290**	**9,623**	**1,583**	**143**	**1,050**	**2,776**
Cash flows									
Premiums received		50,169	-	-	50,169	26,872	-	-	26,872
Claims and other insurance service expenses paid, including investment components		-	-	(13,684)	(13,684)	-	-	(8,738)	(8,738)
Insurance acquisition cash flows paid		(10,661)	-	-	(10,661)	(9,570)	-	-	(9,570)
Other changes		(51)	-	-	(51)	1,101	-	369	1,470
Total cash flows		**39,457**	-	**(13,684)**	**25,773**	**18,403**	-	**(8,369)**	**10,034**
Investment components excluded from insurance revenue and insurance service expense:									
Expected incurred claims		(12,009)	-	12,661	652	(5,941)	-	9,165	3,224
Experience adjustments		(652)	-	-	(652)	(3,224)	-	-	(3,224)
Net closing balance		**133,857**	**392**	**2,112**	**136,361**	**98,824**	**296**	**1,845**	**100,965**
Closing assets		(985)	164	247	(574)	(1,111)	(94)	761	(444)
Closing liabilities		134,842	228	1,865	136,935	99,935	390	1,084	101,409
Net closing balance		**133,857**	**392**	**2,112**	**136,361**	**98,824**	**296**	**1,845**	**100,965**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by measurement component of insurance contracts not measured under the premium allocation approach

		2025				2024			
HK$'m	*Notes*	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	CSM	Total	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	CSM	Total
Opening assets		(7,172)	4,273	2,455	(444)	(1,503)	448	576	(479)
Opening liabilities		82,664	2,056	16,689	101,409	71,646	4,680	12,308	88,634
Net opening balance		**75,492**	**6,329**	**19,144**	**100,965**	**70,143**	**5,128**	**12,884**	**88,155**
Insurance service result									
Changes that relate to current services									
CSM recognised for services provided	*7*	-	-	(1,877)	(1,877)	-	-	(1,381)	(1,381)
Change in risk adjustment for non-financial risk	*7*	-	(394)	-	(394)	-	(395)	-	(395)
Experience adjustments		135	-	-	135	(107)	-	-	(107)
Income taxes specifically chargeable to the policyholder	*7*	(276)	-	-	(276)	(141)	-	-	(141)
Others		(17)	-	-	(17)	135	-	-	135
Changes that relate to future services									
Contracts initially recognised in the year		(5,839)	703	5,151	15	(3,281)	484	2,936	139
Changes in estimates that adjust the CSM		(2,756)	534	2,222	-	(5,498)	894	4,604	-
Changes in estimates that do not adjust CSM, i.e. losses on groups of onerous contracts and reversals of such losses		147	(64)	-	83	10	-	-	10
Changes that relate to past service, i.e. changes in fulfilment cash flows relating to the liability for incurred claims		14	11	-	25	19	-	-	19
Total insurance service result		**(8,592)**	**790**	**5,496**	**(2,306)**	**(8,863)**	**983**	**6,159**	**(1,721)**
Insurance finance expenses	*10*	11,617	195	117	11,929	3,862	512	116	4,490
Effect of movements in exchange rates		-	-	-	-	-	-	7	7
Total changes in the statement of profit or loss and other comprehensive income		**3,025**	**985**	**5,613**	**9,623**	**(5,001)**	**1,495**	**6,282**	**2,776**
Cash flows		25,773	-	-	25,773	10,350	(294)	(22)	10,034
Net closing balance		**104,290**	**7,314**	**24,757**	**136,361**	**75,492**	**6,329**	**19,144**	**100,965**
Closing assets		(7,526)	4,547	2,405	(574)	(7,172)	4,273	2,455	(444)
Closing liabilities		111,816	2,767	22,352	136,935	82,664	2,056	16,689	101,409
Net closing balance		**104,290**	**7,314**	**24,757**	**136,361**	**75,492**	**6,329**	**19,144**	**100,965**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by remaining coverage and incurred claims of reinsurance contracts held not measured under the premium allocation approach

		2025				2024			
		Asset for remaining coverage				Asset for remaining coverage			
HK$'m	*Notes*	Excluding loss-recovery component	Loss-recovery component	Asset for incurred claims	Total	Excluding loss-recovery component	Loss-recovery component	Asset for incurred claims	Total
Opening assets		(7,983)	-	5,611	(2,372)	(1,554)	-	476	(1,078)
Opening liabilities		(9,478)	(2)	9,600	120	(15,921)	(6)	16,235	308
Net opening balance		**(17,461)**	**(2)**	**15,211**	**(2,252)**	**(17,475)**	**(6)**	**16,711**	**(770)**
Changes in the income statement and statement of comprehensive income									
Net expenses from reinsurance contracts held (excluding effect of changes in non-performance risk of reinsurers)	*9*	461	(1)	(170)	290	551	5	(186)	370
Net expenses from reinsurance contracts held		**461**	**(1)**	**(170)**	**290**	**551**	**5**	**(186)**	**370**
Insurance finance income (expenses) from reinsurance contracts held	*10*	185	-	16	201	(865)	-	-	(865)
Effect of movements in exchange rates		-	-	-	-	(2)	(1)	(3)	(6)
Total changes in the statement of profit or loss and other comprehensive income		**646**	**(1)**	**(154)**	**491**	**(316)**	**4**	**(189)**	**(501)**
Cash flows									
Premiums paid		(1,329)	-	-	(1,329)	(1,126)	-	-	(1,126)
Amounts recovered from reinsurers		-	-	1,895	1,895	(882)	-	1,606	724
Other changes		(1,678)	-	1,554	(124)	955	-	(1,534)	(579)
Total cash flows		**(3,007)**	**-**	**3,449**	**442**	**(1,053)**	**-**	**72**	**(981)**
Investment components excluded from net expenses from reinsurance contracts held									
Expected incurred claims		1,564	-	(1,660)	(96)	1,240	-	(1,383)	(143)
Experience adjustments		96	-	-	96	143	-	-	143
Net closing balance		**(18,162)**	**(3)**	**16,846**	**(1,319)**	**(17,461)**	**(2)**	**15,211**	**(2,252)**
Closing assets		(8,313)	(1)	6,512	(1,802)	(7,983)	-	5,611	(2,372)
Closing liabilities		(9,849)	(2)	10,334	483	(9,478)	(2)	9,600	120
Net closing balance		**(18,162)**	**(3)**	**16,846**	**(1,319)**	**(17,461)**	**(2)**	**15,211**	**(2,252)**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by measurement component of reinsurance contracts held not measured under the premium allocation approach

		2025				2024			
HK$'m	*Notes*	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	CSM	Total	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	CSM	Total
Opening assets		730	(473)	(2,629)	(2,372)	(216)	(608)	(254)	(1,078)
Opening liabilities		660	(103)	(437)	120	1,290	(279)	(703)	308
Net opening balance		**1,390**	**(576)**	**(3,066)**	**(2,252)**	**1,074**	**(887)**	**(957)**	**(770)**
Net expenses from reinsurance contracts held									
Changes that relate to current services									
Amount of CSM recognised in P&L to reflect the transfer of services	*9*	-	-	270	270	-	-	291	291
Change in risk adjustment for non-financial risk	*9*	-	49	-	49	(2)	96	-	94
Experience adjustments		(28)	-	-	(28)	(19)	-	-	(19)
Changes that relate to future services									
Contracts initially recognised in the year		17	(17)	-	-	31	(26)	(5)	-
Changes in estimates that adjust the CSM		10	(113)	103	-	2,422	(81)	(2,341)	-
Changes in estimates that do not adjust CSM, i.e. losses on groups of onerous contracts and reversals of such losses		(1)	-	-	(1)	4	-	-	4
Total net expenses from reinsurance contracts held		**(2)**	**(81)**	**373**	**290**	**2,436**	**(11)**	**(2,055)**	**370**
Insurance finance income (expenses) from reinsurance contracts held	*10*	243	47	(89)	201	(844)	33	(54)	(865)
Effect of movements in exchange rates		-	-	-	-	(2)	(1)	(3)	(6)
Total changes in the statement of profit or loss and other comprehensive income		**241**	**(34)**	**284**	**491**	**1,590**	**21**	**(2,112)**	**(501)**
Cash flows		442	-	-	442	(1,274)	290	3	(981)
Net closing balance		**2,073**	**(610)**	**(2,782)**	**(1,319)**	**1,390**	**(576)**	**(3,066)**	**(2,252)**
Closing assets		1,326	(508)	(2,620)	(1,802)	730	(473)	(2,629)	(2,372)
Closing liabilities		747	(102)	(162)	483	660	(103)	(437)	120
Net closing balance		**2,073**	**(610)**	**(2,782)**	**(1,319)**	**1,390**	**(576)**	**(3,066)**	**(2,252)**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by remaining coverage and incurred claims of insurance contracts measured under the premium allocation approach

		2025					2024				
		Liabilities for remaining coverage		Liabilities for incurred claims		Total	Liabilities for remaining coverage		Liabilities for incurred claims		Total
HK$'m	*Notes*	Excluding loss component	Loss component	Estimate of present value of future cash flows	Risk adjustment for non-financial risk		Excluding loss component	Loss component	Estimate of present value of future cash flows	Risk adjustment for non-financial risk	
Opening assets		-	-	-	-	-	-	-	-	-	-
Opening liabilities		161	-	(41)	-	120	111	-	(53)	-	58
Net opening balance		**161**	-	**(41)**	-	**120**	**111**	-	**(53)**	-	**58**
Insurance revenue	*7*	(258)	-	-	-	(258)	(193)	-	-	-	(193)
Insurance service expenses											
Incurred claims and other insurance service expenses paid for insurance contracts issued, excluding insurance acquisition cash flows		-	-	265	-	265	-	-	205	-	205
Amortisation of insurance acquisition cash flows		34	-	-	-	34	25	-	-	-	25
Adjustments to liabilities for incurred claims		-	-	1	-	1	-	-	-	-	-
Total insurance service expenses	*8*	**34**	-	**266**	-	**300**	**25**	-	**205**	-	**230**
Insurance service result		**(224)**	-	**266**	-	**42**	**(168)**	-	**205**	-	**37**
Total changes in the statement of profit or loss and other comprehensive income		**(224)**	-	**266**	-	**42**	**(168)**	-	**205**	-	**37**
Cash flows											
Premiums received		268	-	-	-	268	218	-	-	-	218
Claims and other insurance service expenses paid, including investment components		-	-	(221)	-	(221)	-	-	(193)	-	(193)
Insurance acquisition cash flows paid		(34)	-	-	-	(34)	-	-	-	-	-
Total cash flows		234	-	(221)	-	**13**	218	-	(193)	-	25
Net closing balance		171	-	4	-	175	161	-	(41)	-	**120**
Closing assets		-	-	-	-	-	-	-	-	-	-
Closing liabilities		171	-	4	-	175	161	-	(41)	-	120
Net closing balance		**171**	-	**4**	-	175	161	-	(41)	-	**120**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(a) Movement in carrying amounts - continued

Analysis by measurement component of reinsurance contracts held measured under the premium allocation approach

		2025					2024				
		Asset for remaining coverage		Asset for incurred claims			Asset for remaining coverage		Asset for incurred claims		
HK$'m	*Notes*	Excluding loss-recovery component	Loss-recovery component	Estimate of present value of future cash flows	Risk adjustment for non- financial risk	Total	Excluding loss-recovery component	Loss-recovery component	Estimate of present value of future cash flows	Risk adjustment for non- financial risk	Total
Opening assets		(4)	-	(7)	-	(11)	(3)	-	-	-	(3)
Opening liabilities		-	-	-	-	-	-	-	-	-	-
Net opening balance		**(4)**	-	**(7)**	-	**(11)**	**(3)**	-	-	-	**(3)**
Changes in the income statement and statement of comprehensive income											
Net expenses from reinsurance contracts held (excluding effect of changes in non-performance risk of reinsurers)	*9*	190	-	(190)	-	-	-	-	(18)	-	(18)
Net expenses from reinsurance contracts held		**190**	-	**(190)**	-	-	-	-	**(18)**	-	**(18)**
Total changes in the statement of profit or loss and other comprehensive income		**190**	-	**(190)**	-	-	-	-	**(18)**	-	**(18)**
Cash flows											
Premiums paid		-	-	-	-	-	(1)	-	-	-	(1)
Amounts recovered from reinsurers		-	-	-	-	-	-	-	11	-	11
Total cash flows		-	-	-	-	-	**(1)**	-	**11**	-	**10**
Net closing balance		**186**	-	**(197)**	-	**(11)**	**(4)**	-	**(7)**	-	**(11)**
Closing assets		186	-	(197)	-	(11)	(4)	-	(7)	-	(11)
Closing liabilities		-	-	-	-	-	-	-	-	-	-
Net closing balance		**186**	-	**(197)**	-	**(11)**	**(4)**	-	**(7)**	-	**(11)**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(b) Effect of contracts initially recognised in the year

The following tables summarise the effect on the measurement components of insurance contracts and reinsurance contracts held arising from the initial recognition of contracts not measured under the premium allocation approach that were initially recognised in the year.

Insurance contracts

	Profitable contracts HK$'m	Onerous contracts HK$'m	Total HK$'m
2025			
Estimates of present value of future cash outflows			
Insurance acquisition cash flows	11,695	32	11,727
Claims payable and other expenses	29,554	258	29,812
Total estimates of present value of future cash outflows	**41,249**	**290**	**41,539**
Estimates of present value of future cash inflows	(47,071)	(307)	(47,378)
Risk adjustment for non-financial risk	671	32	703
Contractual service margin	5,151	-	5,151
Losses recognised on initial recognition	**-**	**15**	**15**
2024			
Estimates of present value of future cash outflows			
Insurance acquisition cash flows	7,069	57	7,126
Claims payable and other expenses	20,966	270	21,236
Total estimates of present value of future cash outflows	**28,035**	**327**	**28,362**
Estimates of present value of future cash inflows	(31,418)	(225)	(31,643)
Risk adjustment for non-financial risk	447	37	484
Contractual service margin	2,936	-	2,936
Losses recognised on initial recognition	**-**	**139**	**139**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(b) Effect of contracts initially recognised in the year - continued

Reinsurance contracts held

	Contracts purchased individually	
	2025	2024
	HK$'m	HK$'m
Estimates of present value of future cash inflows	(309)	(207)
Estimates of present value of future cash outflows	326	238
Risk adjustment for non-financial risk	(17)	(26)
Contractual service margin	-	5

(c) Analysis of contractual service margin

The following table illustrates when the Company expects to recognise the remaining contractual service margin as revenue for contracts not measured under the premium allocation approach.

	Total	5 years or less	After 5 years through 10 years	After 10 years
	HK$'m	HK$'m	HK$'m	HK$'m
2025				
Insurance contracts	24,757	8,793	5,592	10,372
Reinsurance contracts held	(2,782)	(969)	(639)	(1,174)
2024				
Insurance contracts	19,144	6,256	4,204	8,684
Reinsurance contracts held	(3,066)	(1,003)	(663)	(1,400)

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(d) CSM and Insurance Revenue by Transition Method

Insurance contracts

The following tables show the reconciliations of the CSM and the amount of insurance revenue recognised separately for insurance contracts that existed at the transition date to which the fair value transition approach was applied.

	Contracts measured under the fair value approach at transition	
	2025	2024
	HK$'m	HK$'m
Insurance revenue	1,716	1,653
CSM as at 1 January	11,399	9,403
Changes that relate to current service:		
CSM recognised for the services provided	(1,138)	(1,010)
Changes that relate to future service:		
Changes in estimates that adjust CSM	3,791	2,977
Insurance finance income from insurance contracts issued	76	29
CSM as at 31 December	**14,128**	**11,399**

Reinsurance contracts held

The following tables show the reconciliations of the CSM separately for reinsurance contracts held that existed at the transition date to which the fair value transition approach was applied.

	Contracts measured under the fair value approach at transition	
	2025	2024
	HK$'m	HK$'m
Allocation of reinsurance premiums paid	(326)	(387)
CSM as at 1 January	2,808	663
Changes that relate to current service:		
CSM recognised for the services provided	(253)	(268)
Changes that relate to future service:		
Changes in estimates that adjust CSM	(4)	2,370
Insurance finance income from reinsurance contracts held	88	43
CSM as at 31 December	**2,639**	**2,808**

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(e) Methodology and assumptions

General

A group of insurance contracts is measured as the total of fulfillment cash flows, which is the present value of future cash flows plus the risk adjustment for non-financial risk, and, for groups measured using the GMM or VFA, the CSM. In measuring the present value of future cash flows, assumptions must be made about mortality and morbidity rates, lapse and other policyholder behaviour ("policyholder behaviour"), expenses and other factors over the life of our products, and the prevailing market view of the cost of financial risk in our products. Many of these assumptions relate to events that are anticipated to occur many years in the future. Assumptions require significant judgment and regular review and, where appropriate, revision.

The risk adjustment is the compensation we require for the uncertainty related to non-financial risk in the estimates of future cash flows. This compensation is measured by discounting cash flows from applying margins to the non-financial assumptions used in the estimate of future cash flows.

The CSM represents the unearned profit that will be recognised as insurance contract services are provided.

The methods and assumptions used in the measurement of insurance contracts are reviewed regularly and are subject to external actuarial peer review.

Present Value of Future Cash Flows

Assumptions for non-financial risk variables in the present value of future cash flows are intended to be current, neutral estimates of the expected outcome. The choice of assumptions takes into account current circumstances, past experience data from our own experience or from the industry, the relationship of past to expected future experience, anti-selection, the relationship among assumptions (including those for financial risk variables), and other relevant factors.

Assumptions for financial risk variables in the present value of future cash flows are based on current observable market prices, adjusted to account for differences between the financial risk embedded in our products and those in the corresponding observed market instrument. Where no relevant market instrument is available, we use the best information available.

Mortality

Mortality refers to the rates at which death occurs for defined groups of people. Mortality assumptions are generally based on the past five to ten years of experience. Our experience is combined with industry experience or experience from reinsurers where our own experience is insufficient to be statistically valid. Assumed mortality rates for life insurance and annuity contracts include assumptions about future mortality improvement based on recent trends in population mortality and our outlook for future trends.

Morbidity

Morbidity refers to the rate of being unhealthy or disabled and the rates of recovery therefrom. Assumptions have been developed based on recent historical experience, and expectations of current and expected future experience. Morbidity rate assumptions have been expressed as a percentage of standard industry experience tables or as expected claims ratios.

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(e) Methodology and assumptions - continued

Lapse or surrender

Policyholders may allow their policies to lapse prior to the end of the contractual coverage period by choosing not to continue to pay premiums or by surrendering their policy for the cash surrender value. Assumptions have been developed based on their recent historical experience, and their expectations of current and expected future experience. Lapse rate would vary by policy year and product type with different rates for regular and single premium where appropriate.

Premium payment patterns

For universal life contracts, it is necessary to set assumptions about premium payment patterns. Studies prepared by industry or the actuarial profession are used for products where our experience is insufficient to be statistically valid. Premium payment patterns usually vary by plan, age at issue, method of premium payment, policy duration and financial risk variables.

Expense

Future expenses directly attributable to the fulfillment of our insurance contracts include the costs of premium collection, claims adjudication and processing, actuarial calculations, preparation and mailing of policy statements, and related overhead. Future expense assumptions are mainly based on our recent experience using an internal expense allocation methodology. Inflationary increases assumed in future expenses are based on long-term expectations.

Acquisition expenses directly attributable to portfolios of insurance contracts include the costs of selling, underwriting and issuing insurance contracts and amortisation of DOC arising from bancassurance. For new insurance contracts measured using the GMM or VFA, actual or estimated directly attributable acquisition expenses are recognised in the initial measurement of the contract. If estimates are used, the difference between estimated and actual acquisition expenses adjusts the CSM when the group of insurance contracts is closed to new contracts.

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(e) Methodology and assumptions - continued

Key changes in assumptions for the year ended December 31, 2025:

Morbidity

Assumptions for hospitalization & surgical claims (HS), critical illness, and accident claims were updated based on recent experience studies. The resulting impacts on insurance contract liabilities, including repricing effects, have been recognized.

Policyholder behaviour

Assumptions relating to lapse, premium persistency, and partial withdrawals were refined to reflect observed policyholder behaviour.

Expense

The Company conducted a review of expenses that are directly attributable to the maintenance of insurance contracts, and updated expenses assumptions accordingly.

Financial

Updates to various financial-related assumptions. Key item is a refinement made to an approximation where a set of scenarios is used to represent a much larger number of economic scenarios, which results in valuation model run time efficiencies.

Modelling enhancement and other changes

There are various enhancements and methodology updates:

- Refinements were made to the modelling of guarantees and terminal bonuses on Reversionary Bonus (RB) Par, per updates to the Principles and Practices of Financial Management (PPFM) document with respect to the treatment of guarantees among dividend classes, and enhancement to better mimic the bonus management practices.

- Valuation approach for majority of prepaid premium is enhanced from accounting liability at book value of prepayment account, to actuarial liability at present value of projected cashflows.

The impact on CSM of Assumption, Method Changes and Management Actions ("ACMA") is attributable to insurance contracts and related impacts under GMM and VFA. For insurance contracts measured under GMM, the impacts flow through the CSM at locked-in discount rates. For insurance contracts measured under VFA, the impact flows through the CSM at current discount rates. In summary, the ACMA CSM impact is an increase of HK$119 million and the reported net income impact is a decrease of HK$88 million.

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(e) Methodology and assumptions - continued

Current Discount Rates

Current discount rates are used to discount estimates of future cash flows in determining the present value of future cash flows. Current discount rates reflect the time value of money, the characteristics of the cash flows, and the liquidity characteristics of the insurance contracts.

To reflect the liquidity characteristics of the insurance contracts, the risk-free spot rates are adjusted by an illiquidity premium. For most of the liability portfolios except for RMB Non-participating ("RMB Non-Par"), RMB Universal Life ("RMB UL") and Variable Universal Life ("VUL"), the Company adopts a top-down approach in determining the illiquidity premium. The top-down approach starts with the expected yield of a reference asset portfolio that closely matches the cash flow characteristics (timing, currency, liquidity) of the insurance liabilities, then adjusting this yield to remove risks not present in the insurance contracts. For RMB NP, RMB UL and VUL products, bottom-up approach is used by defining a long-term assumption based on their investment strategies.

The tables below set out the spot rates split by risk-free spot rates and illiquidity premium used to discount the cash flows of insurance contracts.

As at 31 December 2025

Except RMB NP and RMB UL

	1 year	5 years	10 years	15 years	20 years
Risk-free spot rate	3.51%	3.78%	4.29%	4.78%	5.10%
Illiquidity Premium	Up to 1.00%	Up to 0.99%	Up to 1.12%	Up to 0.93%	Up to 0.87%

For RMB NP and RMB UL

	1 year	5 years	10 years	15 years	20 years
Risk-free spot rate	1.34%	1.64%	1.87%	2.08%	2.33%
Illiquidity Premium	0.40%	0.41%	0.41%	0.40%	0.42%

As at 31 December 2024

Except RMB NP and RMB UL

	1 year	5 years	10 years	15 years	20 years
Risk-free spot rate	4.20%	4.44%	4.67%	4.90%	5.03%
Illiquidity Premium	Up to 0.97%	Up to 0.67%	Up to 0.94%	Up to 0.91%	Up to 0.91%

For RMB NP and RMB UL

	1 year	5 years	10 years	15 years	20 years
Risk-free spot rate	1.09%	1.43%	1.70%	1.85%	2.03%
Illiquidity Premium	0.40%	0.41%	0.41%	0.41%	0.42%

20. INSURANCE CONTRACTS/REINSURANCE CONTRACTS/FINANCIAL LIABILITIES FROM INVESTMENT CONTRACTS - continued

(f) Underlying items of contracts with direct participation features

The following table sets out the composition and the fair value of the underlying items for the Company's contracts with direct participation features at the reporting date.

	2025 HK$'m	2024 HK$'m
Cash and cash equivalents	4,518	5,334
Financial investments and policy loan	100,301	74,752
Other assets	736	18
Less: payables and other liabilities	(4,934)	(1,542)
Total	100,621	78,562

(g) Financial liabilities from investment contracts without DPF

	2025 HK$'m	2024 HK$'m
Analysed as follows:		
Investment linked contracts at fair value - current	586	515

Group retirement business without guarantee measured at fair value is a type of investment contract without DPF.

Movements during year are as follows:

	2025 HK$'m	2024 HK$'m
Balances as at January 1	515	471
Deposit	61	115
Investment return from underlying assets	39	(9)
Withdrawals	(30)	(42)
Fees	(11)	(18)
Others	12	(2)
Balances as at December 31	586	515

21. INVESTMENTS IN SECURITIES

2025	Measured/ Designated at FVTPL HK$'m	Measured at FVTOCI HK$'m	Total HK$'m
Fixed interest investments			
Government			
- listed	4,626	223	4,849
Others			
- listed	55,113	1,423	56,536
- unlisted	19,568	-	19,568
Variable interest investments			
Government			
- listed	79	-	79
Others			
- listed	13,265	784	14,049
- unlisted	1,010	-	1,010
Unit trust and equities investments			
- listed	28,050	-	28,050
- unlisted	11,210	-	11,210
Limited partnerships	1,860	-	1,860
Mortgage loan investments	119	-	119
	134,900	2,430	137,330
Total			
- listed	101,133	2,430	103,563
- unlisted	33,767	-	33,767
	134,900	2,430	137,330

21. INVESTMENTS IN SECURITIES - continued

2024	Measured/ Designated at FVTPL HK$'m	Measured at FVTOCI HK$'m	Total HK$'m
Fixed interest investments			
Government			
- listed	4,286	515	4,801
- unlisted	106	1	107
Others			
- listed	35,702	2,079	37,781
- unlisted	20,582	166	20,748
Variable interest investments			
Others			
- listed	5,856	404	6,260
- unlisted	3,799	700	4,499
Unit trust and equities investments			
- listed	16,127	-	16,127
- unlisted	11,167	-	11,167
Limited partnerships	1,416	-	1,416
Mortgage loan investments	137	-	137
	99,178	3,865	103,043
Total			
- listed	61,971	2,998	64,969
- unlisted	37,207	867	38,074
	99,178	3,865	103,043

22. DERIVATIVE FINANCIAL INSTRUMENTS

	2025 HK$'m	2024 HK$'m
Fair value of:		
Financial assets		
Foreign exchange forward contracts	17	228
Foreign exchange swap contracts	468	374
Interest rate swap contracts	10	-
Swaption contracts	105	141
Credit default swap contracts	2	2
Listed options	822	36
Equity futures	10	2
	1,434	783
Financial liabilities		
Foreign exchange forward contracts	(62)	(7)
Interest rate swap contracts	(1)	-
Bond forwards	-	(1)
Equity futures	-	(2)
Listed options	(406)	(104)
Treasury futures	(2)	(3)
	(471)	(117)
Total	963	666

22. DERIVATIVE FINANCIAL INSTRUMENTS - continued

Notional amounts of derivatives:	2025 HK$'m	2024 HK$'m
Foreign exchange forward contracts with latest maturity date on March 17, 2026 (2024: March 17, 2025)		
Buy RMB / Sell USD	246	-
Buy EUR / Sell USD	20	-
Buy GBP / Sell USD	72	67
Buy HKD / Sell USD	8,491	8,340
Buy USD / Sell RMB	2,098	-
Buy USD / Sell EUR	1,144	-
Buy USD / Sell GBP	445	-
Buy USD / Sell HKD	6,891	9,094
Buy USD / Sell INR	1,400	-
Buy USD / Sell KRW	1,451	-
Buy USD / Sell TWD	1,687	-
Buy USD / Sell IDR	132	-
Buy USD / Sell JPY	1,461	-
Buy USD / Sell SGD	260	-
Buy SGD / Sell USD	24	-
Buy TWD / Sell USD	10	-
Buy HKD / Sell RMB	-	3,096
Buy HKD / Sell EUR	-	418
Buy HKD / Sell GBP	-	113
Buy HKD / Sell INR	-	1,005
Buy HKD / Sell KRW	-	759
Buy HKD / Sell TWD	-	897
Buy RMB / Sell HKD	-	10
Buy EUR / Sell HKD	-	20
Buy GBP / Sell HKD	-	67
Buy HKD / Sell IDR	-	130
Credit default swap contracts with latest maturity date on December 20, 2027 (2024: December 20, 2027)	117	117
Interest rate swap contracts with latest maturity date on September 26, 2055 (2024: Nil)	1,409	-
Swaptions contracts with latest maturity date on September 28, 2039 (2024: September 28, 2039)	2,724	2,719
Bond forward contracts were fully disposed during 2025 (2024: August 18, 2025)	-	39

22. DERIVATIVE FINANCIAL INSTRUMENTS - continued

Notional amounts of derivatives: - continued	2025 HK$'m	2024 HK$'m
Listed option contracts with latest maturity date on December 30, 2026 (2024: December 30, 2026)	17,265	3,830
Foreign exchange swap contracts with latest maturity date on December 16, 2035 (2024: September 29, 2033)		
Buy HKD / Sell USD	17,442	14,802
Buy USD / Sell NZD	161	171
Equity futures with latest maturity date on March 20, 2026 (2024: March 21, 2025)	1,065	1,166
Treasury futures contracts with latest maturity date on March 20, 2026 (2024: March 20, 2025)	1,433	1,512

The notional amounts of these instruments indicate the volume of transactions outstanding as at the reporting date; they do not represent amounts at risk. The net unrealised gain amounted to HK$963 million at December 31, 2025 (December 31, 2024: HK$666 million unrealised gain).

At December 31, 2025, the collateral in the form of cash and securities received on derivative assets was HK$497 million (December 31, 2024: HK$674 million) and pledged in respect of derivative liabilities was HK$260 million in connection with the derivative transactions entered by the Company (December 31, 2024: HK$699 million).

The Company has entered into option contracts in recent transactions with non-controlling interests of its subsidiary undertakings. The option has no expiry and is exercisable at fair market value. If the counterparts do not exercise its put option upon the exercise event, the Company retains a secondary call option to acquire the counterpart's shares at fair market value. The put option is contingent on specific events that are within the Company's control to avoid. Accordingly, no present obligation exists under HKAS 32, and no financial liability is recognized.

Given the facts that the put option is out-of-money and it also lacks of transferability and marketability, the expected value of the discount feature is considered immaterial, and there the put option has been valued to be nil value as at December 31, 2025 (2024: nil).

23. LOANS RECEIVABLE

	2025 HK$'m	2024 HK$'m
Loans to agents	300	291
Due within one year	82	82
Due after one year	218	209
	300	291

The fair values of the loans receivable at the end of the reporting period, determined based on the present value of the estimated future cash flows discounted using the prevailing market rate at that date, approximate their carrying amount.

24. RELATED PARTY TRANSACTIONS

During the year, the Company entered into the following transactions with related parties. All amounts are non-traded related, unsecured, interest free and repayable on demand.

	Administration and other service fee income		Management fee and other expenses		Interest expenses		Other revenue		Amounts due from		Amounts due to	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m	HK$'m
Immediate holding company	-	-	187	116	-	-	3	3	3	-	177	134
Fellow subsidiaries	121	151	174	206	-	17	-	23	46	66	217	58
Subsidiaries	22	-	355	8	-	-	46	27	48	6	-	4

	Reinsurance contract held liabilities		Reinsurance contract held income	
	2025	2024	2025	2024
	HK$'m	HK$'m	HK$'m	HK$'m
Immediate holding company	340	174	226	218

	Capital commitment (note 36)	
	2025	2024
	HK$'m	HK$'m
Subsidiaries	2,358	-

24. RELATED PARTY TRANSACTIONS - continued

Amounts due from/to subsidiaries, fellow subsidiaries and immediate holding company are unsecured, interest free and are receivable/ repayable on demand.

Compensation of key management personnel

Key management personnel have been identified as the members of the Company's Board of Directors. The remuneration of during the year is as follows:

	2025 HK$'m	2024 (unaudited) HK$'m
Short-term benefits	8	8
Post-employment benefits	1	1
Share-based payments	20	18
	29	27

25. BANK BALANCES AND CASH

	2025 HK$'m	2024 HK$'m
Cash and cash equivalents		
- Cash in hand	4,109	3,030
Restricted cash [1]	1,482	1,725
Bank balances and cash	5,591	4,755

[1] Restricted cash includes HK$965 million (2024: HK$1,051 million) in relation to cash received on collateral from securities lending (note 30).

26. SHARE CAPITAL

	Number of shares		Share capital	
	2025 '000	2024 '000	2025 HK$'m	2024 HK$'m
Authorised:				
Ordinary shares of US$0.639 each at beginning and end of year	1,290,000	1,290,000	6,430	6,430
Ordinary shares of HK$1 each at beginning and end of year	200,000	200,000	200	200

	Number of shares		Share capital	
	2025 '000	2024 '000	2025 HK$'m	2024 HK$'m
Issued and fully paid:				
Ordinary shares of US$0.639 each at beginning and end of year	710,509	710,509	3,526	3,526
Issued and partly paid:				
Ordinary shares of HK$1 each (partly paid to HK$0.01 each share) at beginning and end of year	200,000	200,000	2	2
			3,528	3,528

27. ACCUMULATED SURPLUS ATTRIBUTABLE TO PARTICIPATING ACCOUNT

The Company ring-fences a portion of Accumulated Profits as surplus arising from participating policies. The amount to be transferred to participating surplus is determined on a quarterly basis and excludes the share of bonus to the relevant policyholders. The amount transferred from Accumulated Profits to Equity Attributable to Participating Account during year was HK$92m (2024: HK$nil).

28. TAX PAYABLES

	2025 HK$'m	2024 HK$'m
At January 1	26	1
Provision for Hong Kong profits tax for the year	145	5
Provisional Hong Kong profits tax (paid) refunded	(46)	14
Others	(2)	6
At December 31	123	26

29. DEFERRED TAXATION

The following is the analysis of the deferred tax balances for financial reporting purposes:

	2025 HK$'m	2024 HK$'m
Deferred tax liabilities	138	99

The following is an analysis of the major deferred tax liabilities recognised and movements thereon during the current and prior years:

	Unused tax loss HK$'m	Revaluation of investments HK$'m	Deferred origination costs of MPF HK$'m	Intangible from business acquisition HK$'m	Total HK$'m
At January 1, 2024	24	77	(146)	(62)	(107)
Credited to other comprehensive income for the year	-	5	-	-	5
(Charged) credited to profit or loss for the year	(11)	1	8	5	3
At December 31, 2024	13	83	(138)	(57)	(99)
Charged to other comprehensive income for the year	-	(38)	-	-	(38)
(Charged) credited to profit or loss for the year	(13)	1	6	5	(1)
At December 31, 2025	-	46	(132)	(52)	(138)

At the end of the reporting period, the Company has no estimated unused tax losses arising in Hong Kong (2024: HK$61 million) that are available for offset against future taxable profits.

30. FINANCIAL LIABILITIES FROM SECURITIES LENDING

The Company engages in securities lending to generate additional income. Certain securities from its portfolio are lent to other institutions through a lending agent for short periods. Collateral in relation to the securities lent is deposited by the borrower with the agent, and maintained by the lending agent until the underlying securities have been returned to the Company. Collateral primarily consists of cash and cash equivalents. The carrying values of the securities lent and the related cash collateral held are HK$918 million (2024: HK$992 million) and HK$965 million (2024: HK$1,051 million) respectively as at December 31, 2025.

31. LEASE LIABILITIES

	2025 HK$'m	2024 HK$'m
Lease liabilities payable:		
Within one year	100	86
Within a period of more than 1 year but not more than 2 years	81	29
Within a period of more than 2 years but not more than 5 years	197	14
Within a period of more than 5 years	38	-
	416	129
Less: Amount due for settlement within 12 months	(100)	(86)
	316	43

The Company has lease contracts for various office premises. The incremental borrowing rates applied to lease liabilities range from 3.3% to 4.69% (2024: 0.45% to 5.19%).

Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in the statement of cash flows as cash flows from financing activities. The only liability arising from financing activities is the lease liability, and the related cash changes are presented in the statement of cash flows.

32. OTHER LIABILITIES

	2025 HK$'m	2024 HK$'m
Investment transaction payable	2,663	2,207
Accruals	1,202	1,594
Upfront access fee payables for bancassurance partnership	-	1,130
Other payables	56	29
Restructuring Provisions	10	-
	3,931	4,960

The carrying value of the payables approximates to their fair value.

33. FINANCIAL INSTRUMENTS AND INSURANCE CONTRACTS

Categories of financial instruments and insurance contracts

	2025 HK$'m	2024 HK$'m
Financial assets		
Measured at FVTPL		
- Investment in securities	134,900	99,178
Derivative financial instruments	1,434	783
Measured at amortised cost		
- Bank balances and cash	5,591	4,755
- Loans receivable	300	291
- Other debtors and deposits	352	233
- Amounts due from an immediate holding company, fellow subsidiaries and subsidiaries	97	72
Measured at FVTOCI		
- Investment in securities	2,430	3,865
Financial liabilities		
Measured at FVTPL		
- Financial liabilities from investment contracts	586	515
Derivative financial instruments	471	117
Measured at amortised cost		
- Financial liabilities from securities lending	965	1,051
- Other liabilities	2,729	3,366
- Amounts due to an immediate holding company, fellow subsidiaries and subsidiaries	394	196
Insurance-related assets		
Insurance contract assets	574	444
Reinsurance contract held assets	1,813	2,383
Insurance-related liabilities		
Insurance contract liabilities	137,110	101,529
Reinsurance contract held liabilities	483	120

34. EQUITY COMPENSATION BENEFITS

Sun Life Financial Inc. ("SLF Inc.") offers a Long-Term Incentive Program to certain executives of the Company, including directors and controllers. Details of the plans are as follows:

Sun Share Unit ("Sun Share") Plan

Under the Sun Shares plan, participants are granted units that are equivalent in value to one common share of SLF Inc. and have a grant price equal to the average of the closing price of a common share on the Toronto Stock Exchange ("TSX") on the five trading days immediately prior to the date of grant. Participants generally hold units for up to 36 months from the date of grant. The units earn dividend equivalents in the form of additional units at the same rate as the dividends on common shares. Units may vest or become payable if SLF Inc. meet specified threshold performance targets. The plan provides for performance factors to motivate participants to achieve a higher return for shareholders (performance factors are determined through a multiplier that can be as low as zero or as high as two times the number of units that vest). Payments to participants are based on the number of units vested multiplied by the average closing price of a common share on the TSX on the five trading days immediately prior to the vesting date.

The charge recognised in the statement of profit or loss in respect of the value of the above plans amounted to HK$20 million (2024: HK$18 million).

35. RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

The table below details changes in Company's liabilities arising from financing activities, including both cash and non-cash changes. Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in Company's statement of cash flows as cash flows from financing activities.

	Loans receivables HK$'m	Dividends payable HK$'m	Subordinated loans HK$'m	Lease liabilities HK$'m
At January 1, 2024	(272)	-	560	209
New leases entered	-	-	-	29
Lease modified	-	-	-	26
Repayment on subordinated loans	-	-	(560)	-
Dividends declared	-	855	-	-
Dividends paid	-	(855)	-	-
Financing cash flows	(19)	-	(17)	(143)
Interest expenses (note 11)	-	-	17	8
At December 31, 2024	(291)	-	-	129
New leases entered	-	-	-	401
Dividends declared	-	1,425	-	-
Dividends paid	-	(1,425)	-	-
Financing cash flows	(9)	-	-	(124)
Interest expenses (note 11)	-	-	-	10
At December 31, 2025	(300)	-	-	416

36. CAPITAL COMMITMENT

	2025 HK$'m	2024 HK$'m
Funding commitment to a subsidiary as a result of the capital transaction	233	-
Capital expenditure in respect of the subscriptions of limited partner interests in funds contracted for but not provided in the financial statements	2,125	-
	2,358	-